

Calendar Line 1

Case Name: *Rosa Salazar v. FCA USA, LLC et al.*

Case No.: 24CV450440

I. Background

Plaintiff Rosa Salazar (“Plaintiff”) initiated this action against defendants FCA, US, LLC (“FCA”) and Stevens Creek Chrysler Jeep Dodge (“Dodge”) (collectively, “Defendants”) on October 28, 2024.

On June 30, 2019, Plaintiff entered into a warranty contract with FCA regarding a Certified Pre-Owned 2017 Dodge Grand Caravan (“Subject Vehicle”), that was manufactured and distributed by FCA. (Complaint, ¶ 10.) The contract contained various warranties and FCA also provided Plaintiff with a California Emission Warranty that has not been produced for Plaintiff. (Complaint, ¶ 11; Ex. A.)

Plaintiff purchased the Subject Vehicle as manufactured with FCA’s defective engine. (Complaint, ¶ 18.) FCA knew, and failed to disclose prior to Plaintiff’s purchase that the vehicles, including the Subject Vehicle, had engine defects resulting in loss of power, stalling, engine running rough, engine misfires, and failure or replacement of the engine. (Complaint, ¶¶ 19-23, 25, 27.) Prior to purchase, Plaintiff interacted with sales representatives and reviewed FCA’s marketing and advertising materials. (Complaint, ¶ 23.) Plaintiff was never told that the engine in the vehicle was defective. (*Ibid.*)

FCA received numerous complaints regarding the engine’s defects but instead of repairing the problem under warranty, FCA dealers informed consumers that their vehicles were functioning properly or conducted repairs that masked the defects. (Complaint, ¶ 29.)

The Complaint asserts the following causes of action:

- 1) Violation of Civil Code section 1793.2, subdivision (d) [against FCA];
- 2) Violation of Civil Code section 1793.2, subdivision (b) [against FCA];
- 3) Violation of Civil Code section 1793.2, subdivision (a)(3) [against FCA];
- 4) Breach of the implied warranty of merchantability [against FCA];
- 5) Negligent repair [against Dodge]; and
- 6) Fraudulent inducement-concealment [against FCA].

On April 27, 2026, FCA filed a motion for judgment on the pleadings on the ground the first, second, third, fourth, and sixth causes of action fail to state sufficient facts to constitute a cause of action. Plaintiff opposes the motion and FCA filed a reply.

II. Legal Standard

Code of Civil Procedure section 438 provides the statutory framework for a motion for judgment on the pleadings. (Code Civ. Proc., § 438, subd. (b)(1).) “The motion provided for in this section may only be made on one of the following grounds: . . . (B) If the moving party is a defendant, that either of the following conditions exist: . . . (ii) The complaint does not state facts sufficient to constitute a cause of action against that defendant.” (Code Civ. Proc., § 438, subd. (c)(1)(ii).)

A motion for judgment on the pleadings is the functional equivalent of a general demurrer but is made after the time for demurrer has expired. (See *Evans v. California Trailer Court, Inc.* (1994) 28 Cal.App.4th 540, 548; see also *Shea Homes Limited Partnership v. County of Alameda* (2003) 110 Cal.App.4th 1246, 1254 (*Shea*).) “The grounds for the motion must appear on the face of the complaint, and in any matters subject to judicial notice. The court accepts as true all material factual allegations, giving them a liberal construction, but it does not consider conclusions of fact or law, opinions, speculation, or allegations contrary to

law or judicially noticed facts.” (*Shea, supra*, 110 Cal.App.4th at p. 1254 [citations omitted]; *Kapsimallis v. Allstate Ins. Co.* (2002) 104 Cal.App.4th 667, 672.)

III. Sufficient Factual Allegations

a. First Four Claims

FCA asserts that the first four causes of action brought under the Song-Beverly Consumer Warranty Act (“Song-Beverly Act” or “the Act”) are barred because the Subject Vehicle is not a new motor vehicle under the Act. (Motion, p. 8:12-19.) FCA contends that the Supreme Court has confirmed that the Act’s express warranty provisions do not apply to used vehicles. (*Ibid.*, citing *Rodriguez v. FCA US, LLC* (2024) 17 Cal.5th 189, 197-206 (*Rodriguez*).) In opposition, Plaintiff asserts that the Act does apply because FCA issued a new warranty with the sale of the pre-owned Subject Vehicle. (Opposition, p. 3:8-13.)

“Song-Beverly, California’s lemon law, ‘protects consumers who purchase defective vehicles or other goods.’” (*Lathrop v. Thor Motor Coach, Inc.* (2024) 105 Cal.App.5th 808, 816; Cal. Civ. Code, § 1790 et seq.) The Act provides, in part:

If the manufacturer or its representative in this state is unable to service or repair a new motor vehicle, as that term is defined in paragraph (2) of subdivision (e) of Section 1793.22, to conform to the applicable express warranties after a reasonable number of attempts, the manufacturer shall either promptly replace the new motor vehicle in accordance with subparagraph (A) or promptly make restitution to the buyer in accordance with subparagraph (B). (Civ. Code § 1793.2(d)(2).)

“New motor vehicle” means a new motor vehicle that is bought or used primarily for personal, family, or household purposes. . . . “New motor vehicle” includes the chassis, chassis cab, and that portion of a motor home devoted to its propulsion, . . . a dealer-owned vehicle and a “demonstrator” or other motor vehicle sold with a manufacturer’s new car warranty A demonstrator is a vehicle assigned by a dealer for the purpose of demonstrating qualities and characteristics common to vehicles of the same or similar model and type. (Civ. Code § 1793.22(e)(2).)

In *Rodriguez*, the Supreme Court held that a vehicle purchased with an unexpired manufacturer’s new car warranty is not a new motor vehicle under the Act, unless a new car warranty was issued at the time of sale. (*Rodriguez, supra*, 17 Cal.5th at p. 196 [“an unexpired manufacturer’s new car warranty does not qualify as a ‘motor vehicle sold with a manufacturer’s new car warranty’ under section 1793.22, subdivision (e)(2)’s definition of ‘new motor vehicle’ unless the new car warranty was issued with the sale.”].)

Here, the complaint alleges that Plaintiff entered into a written warranty contract with FCA, the manufacturer and/or distributor of the Subject Vehicle, and the contract contained various warranties. (Complaint, ¶¶ 10-11, 14, 42, 49.) Plaintiff asserts that these allegations describe a new manufacturer-issued warranty accompanying the sale. (Opposition, p. 4:3-4.) The Court finds that Plaintiff sufficiently alleges that FCA issued an express warranty at the time of the sale and so the Subject Vehicle qualifies as a new motor vehicle for purposes of the Act. (*Alcorn v. Anbro Engineering, Inc.* (1970) 2 Cal.3d 493, 496 [court reviewing propriety of ruling on demurrer is not concerned with the “plaintiff’s ability to prove . . . allegations, or the possible difficulty in making such proof”].)

Accordingly, the motion for judgment on the pleadings as to the first, second, third, and causes of action on the ground they fail to state sufficient facts because they are barred under the Song-Beverly Act is DENIED.

b. Sixth Cause of Action

FCA argues that the sixth cause of action fails to state sufficient facts because fraud claims must be alleged with specificity. (Motion, p. 17:16-17.) FCA asserts that Plaintiff offers no allegations about who had exclusive knowledge of the defects or what information was known to FCA. (Motion, p. 17:22-24.) FCA further argues that the claim is deficient because FCA did not owe a duty to disclose to Plaintiff and there are no allegations Plaintiff directly transacted with FCA or where the Subject Vehicle was purchased and there is no other duty to disclose. (Motion, p. 18:23-28.) Finally, FCA argues the sixth cause of action is barred by the economic loss rule. (Motion, p. 21:11-17.)

The required elements for fraudulent concealment are (1) concealment or suppression of a material fact; (2) by a defendant with a duty to disclose the fact; (3) the defendant intended to defraud the plaintiff by intentionally concealing or suppressing the fact; (4) the plaintiff was unaware of the fact and would have acted differently if the concealed or suppressed fact was known; and (5) the plaintiff sustained damage as a result of the concealment or suppression of the material fact. (*Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1, 40 (*Rattagan*).) “[T]here are four circumstances in which nondisclosure or concealment may constitute actionable fraud: (1) when the defendant is in a fiduciary relationship with the plaintiff; (2) when the defendant had exclusive knowledge of material facts not known to the plaintiff; (3) when the defendant actively conceals a material fact from the plaintiff; and (4) when the defendant makes partial representations but also suppresses some material facts. The latter three circumstances presuppose the existence of some other relationship between the plaintiff and defendant in which a duty to disclose can arise. This relationship has been described as a transaction, such as that between seller and buyer, employer and prospective employee, doctor and patient, or parties *entering into any kind of contractual arrangement.*” (*Burch v. CertainTeed Corp.* (2019) 34 Cal.App.5th 341, 349-350 (*Burch*).)

Each element in a fraud cause of action must generally be pleaded with specificity. (*Cadlo v. Owens-Illinois, Inc.* (2004) 125 Cal.App.4th 513, 519.) In the case of fraud by concealment or omission, however, courts require less particularity because “[h]ow does one show ‘how’ and ‘by what means’ something didn’t happen, or ‘when’ it never happened, or ‘where’ it never happened?” (*Alfaro v. Community Housing Improvement System & Planning Ass’n, Inc.* (2009) 171 Cal.App.4th 1356, 1384.) Less specificity is required when it appears from the nature of the allegations that the defendant necessarily possesses full information concerning the facts of the controversy. (See *Committee on Children’s Television, Inc. v. General Foods Corp.* (1983) 35 Cal.3d 197, 217 [superseded by statute on other grounds as stated in *Californians for Disability Rights v. Mervyn’s, LLC* (2006) 39 Cal.4th 223, 227].)

Here, the complaint alleges that FCA manufactures, distributes, markets, and sells motor vehicles in Santa Clara County, California. (Complaint, ¶ 4.) It alleges that Plaintiff entered into a contract with FCA on June 30, 2019. (*Id.* at ¶ 10.) The complaint also alleges that FCA knew of the alleged engine defect and did not disclose it to consumers such as Plaintiff. (*Id.* at ¶¶ 19, 21, 23, 25, 26, 65.) Further, the complaint alleges what the defects were. (*Id.* at ¶ 19.) At least one appellate court has found similar allegations sufficient to support a cause of action for fraudulent concealment. (*Dhital v. Nissan North America, Inc.* (2022) 84 Cal.App.5th 828, 843-844 (*Dhital*).) *Dhital* is persuasive here, and thus, the sixth cause of action is pleaded with adequate specificity.

As for FCA's argument that there was no duty to disclose, the complaint alleges a direct contractual relationship between Plaintiff and FCA via the warranty agreement. (Complaint, ¶ 10.) "[A]ny kind of contractual relationship" is sufficient to impose a duty to disclose. (*Burch, supra*, 34 Cal.App.5th at p. 350.) Even if the warranty contract was not enough to give rise to a duty to disclose, in California a "vendor has a duty to disclose material facts not only to immediate purchasers, but also to subsequent purchasers when the vendor has reason to expect that the item will be resold." (*OCM Principal Opportunities Fund, L.P. v. CIBC World Markets Corp.* (2007) 157 Cal.App.4th 835, 859.) As a vehicle manufacturer and distributor, FCA knows that its vehicles are likely to be sold by dealerships to consumers. The duty to disclose as a vendor is therefore triggered.

As for the economic loss rule, it provides that "where a purchaser's expectations in a sale are frustrated because the product he brought is not working properly, his remedy is said to be in contract alone, for he has suffered only economic losses." (*Robinson Helicopter Company v. Dana Corporation* (2004) 34 Cal.4th 979, 988 (*Robinson*).)

However, "the economic loss rule does not apply to limit recovery for intentional tort claims like fraud." (*Rattagan, supra*, 17 Cal.5th at p. 38.) More specifically, the economic loss rule does not apply to fraudulent inducement of a contract. (*Robinson, supra*, 34 Cal.4th at pp. 989-990; *County of Santa Clara v. Atlantic Richfield Co.* (2006) 137 Cal.App.4th 292, 328-329 ["The analysis [in *Robinson*] suggested that fraud *itself* is immune from application of the economic loss rule because fraud is particularly blameworthy and therefore unlike both contract causes of action *and* products liability causes of action."][internal citation omitted, emphasis in original].) Tort damages have been permitted in contract cases where a contract is fraudulently induced and where "the duty that gives rise to tort liability is either completely independent of the contract or arises from conduct which is both intentional and intended to harm." (*Robinson, supra*, at pp. 989-990.)

The *Dhital* Court explained that the independence from the contract, detailed in *Robinson*, is present in the case of fraudulent inducement, "because a defendant's conduct in fraudulently inducing someone to enter a contract is separate from the defendant's later breach of the contract or warranty provisions that were agreed to." (*Dhital, supra*, 84 Cal.App.5th at p. 841 [stating also "plaintiffs' fraudulent inducement claim alleges presale conduct by Nissan (concealment) that is distinct from Nissan's alleged subsequent conduct in breaching its warranty obligations"].) The same is true in this case where the complaint alleges both presale conduct and subsequent conduct breaching the express warranty. At the pleading stage, the Court does not find that the economic loss rule bars Plaintiff's claim.

The motion for judgment on the pleadings as to the sixth cause of action on the ground it fails to state sufficient facts is DENIED.

IV. Statute of Limitations

FCA next contends that the first four causes of action and the sixth cause of action are barred by the applicable statute of limitations.

"The defense of a statute of limitations may be asserted by general demurrer [or judgment on the pleadings] if the complaint shows on its face that the statute bars the action." (*E-Fab, Inc. v. Accountants, Inc. Services* (2007) 153 Cal.App.4th 1308, 1315.) "There is an important qualification, however: 'In order for the bar of the statute of limitations to be raised by demurrer, the defect must clearly and affirmatively appear on the face of the complaint; it is not enough that the complaint shows merely that the action may be barred.'" (*Id.* at pp. 1315-1316.) "In assessing whether plaintiff's claims against defendant are time-barred, two basic questions drive [the] analysis: (a) What statutes of limitations govern the plaintiff's claims? (b) When did the plaintiff's causes of action accrue?" (*Id.* at p. 1316.)

a. First Four Claims

FCA asserts that the relevant statute of limitations began accruing on June 30, 2019, at the time Plaintiff purchased the Subject Vehicle, and accrued within four years as set forth in Commercial Code section 2725. (Motion, p. 10:23-27.)

The Song-Beverly Act does not include its own statute of limitations and thus, California courts hold that the claims are governed by the Uniform Commercial Code, section 2725. (See *Mexia v. Rinker Boat Co., Inc.* (2009) 174 Cal.App.4th 1297, 1305-1306 (*Mexia*).) Commercial Code section 2725, subdivision (1) states that, “[a]n action for breach of contract for sale must be commenced within four years after the cause of action has accrued.” Commercial Code section 2725, subdivision (2) further provides that “[a] cause of action accrues when the breach occurs, regardless of the aggrieved party’s lack of knowledge of the breach.” (Com. Code, § 2725, subd. (1) & (2).) “A breach of warranty occurs when tender of delivery is made, *except that where a warranty explicitly extends to future performance of the goods and discovery of the breach must await the times of such performance the cause of action accrues when the breach is or should have been discovered.*” (Com. Code, § 2725, subd. (2) [emphasis added].)

In opposition, Plaintiff relies on the language in subdivision (2) to argue that the accrual of the claims began at discovery of the breach rather than the date of sale. (Opposition, p. 6:1-7.) Here, the complaint alleges that the Subject Vehicle was purchased on June 30, 2019, more than five years before the complaint was filed. (Complaint, ¶ 10.) Thus, on their face, the first four claims are time-barred. Plaintiff argues, however, that she adequately alleges delayed discovery because the Subject Vehicle continued to exhibit issues of engine defects despite FCA’s repair attempts, FCA possessed exclusive knowledge of the defects, and FCA concealed these defects while authorized dealers either represented that vehicles were functioning properly or performed repairs that merely masked the defect. (Opposition, p. 6:11-19, citing Complaint, ¶¶ 8, 22, 25-26, 28-29.)

The Court finds that these allegations are sufficient to show that FCA’s authorized dealers claimed that vehicles were functioning or that proper repairs were performed but only masked the issues, which is why Plaintiff did not discover the defects earlier. (*Oregel v. American Isuzu Motors, Inc.* (2001) 90 Cal.App.4th 1094, 1101; *Mexia, supra*, 174 Cal.App.4th 1297, 1301, 1304-1305.) Whether a reasonable person would nonetheless have discovered the defects earlier are questions of fact not properly resolved on demurrer.

Based on the foregoing, the motion for judgment on the pleadings as to the first four causes of action on the ground they are time-barred is DENIED.

b. Sixth Cause of Action

FCA next argues that the sixth cause of action for fraudulent inducement-concealment is time-barred by a three-year statute of limitations. (Motion, p. 10:16-19, citing Code Civ. Proc., § 338, subd. (d).)

Pursuant to Code of Civil Procedure section 338, subdivision (d), there is a three-year statute of limitations for “[a]n action for relief on the ground of fraud or mistake.” “The cause of action in that case is not deemed to have accrued *until the discovery*, by the aggrieved party, of the facts constituting the fraud or mistake.” (*Ibid.* [emphasis added].)

Here, the complaint alleges that: 1) FCA knew of the defects even prior to Plaintiff’s purchase of the Subject Vehicle but failed to disclose this to Plaintiff (Complaint, ¶¶ 19, 21, 23, 25, 26, 65); 2) Plaintiff did not know of the defects when she purchased the vehicle and could not reasonably discover the defects before it was purchased (Complaint, ¶¶ 21, 23, 24, 25, 70); and 3) Plaintiff discovered the defects shortly before filing the complaint because the Subject

Vehicle continued to exhibit issues of defects following FCA's unsuccessful attempts at repairing them (Complaint, ¶¶ 8, 66(c)).

As noted above, fraud claims do not accrue until the aggrieved party discovered, or should have discovered, the defect. Plaintiff alleges she discovered the defect "shortly before" the complaint was filed (Complaint, ¶ 8), although no specific date is alleged. Based on the complaint's allegations, the sixth cause of action is not time-barred on its face. (See *Daley v. Regents of University of California* (2019) 39 Cal.App.5th 595, 603 ["As an exception to the general rule of accrual, however, the discovery rule 'postpones accrual of a cause of action until the plaintiff discovers, or has reason to discover, the cause of action.'"].)

Based on the above rulings, the Court finds it unnecessary to address the remaining statute of limitations arguments.

The motion for judgment on the pleadings as to the sixth cause of action on the ground it is time-barred is DENIED.

V. Conclusion and Order

The motion for judgement on the pleadings is DENIED in its entirety. The Court will prepare the final order.

- oo0oo -

Calendar Line 2

Case Name: John Sparacino v. Jaguar Land Rover North America, LLC et al.

Case No.: 25CV462214

Plaintiff John Sparacino (“Plaintiff”) purchased a 2023 Land Rover Range Rover (“Subject Vehicle”) in September 2022 from JLR San Jose, LLC dba Land Rover San Jose (“Dealership”). (Complaint at ¶ 7.) Plaintiff delivered the Subject Vehicle to Dealership for substantial repair on at least one occasion. (*Id.* at ¶ 47.) Plaintiff alleges that Dealership “breached its duty to Plaintiff to use ordinary care and skill by failing to properly store, prepare, and repair the Subject Vehicle in accordance with industry standards.” (*Id.* at ¶ 49.) Plaintiff sued Dealership and Ford Motor Company in March 2025. The sole cause of action alleged against Dealership is for negligent repair.

At issue is Dealership’s petition to compel arbitration, based on the Retail Installment Sales Contract (RISC) signed by Plaintiff and Dealership when Plaintiff purchased the Subject Vehicle. Having reviewed the language of the RISC’s arbitration provision and the circumstances of its execution, the court will grant the petition and stay the action.

LEGAL STANDARD

Dealership maintains that the Federal Arbitration Act (“FAA”) governs the arbitration provision based on the language itself and because the agreement affects interstate commerce. (Mtn. to Compel Arbitration at p. 7:10-12.) The arbitration provision states “[a]ny arbitration under this Arbitration Provision shall be governed by the Federal Arbitration Act (9 U.S.C. §§ 1 et seq.) and not by any state law concerning arbitration.” (Declaration of Sarah Carlson Lambert [“Lambert Decl.”], Ex. A at p. 5.) Under the FAA, the court’s role is limited to determining “(1) whether a valid agreement to arbitrate exists, and if it does (2) whether the agreement encompasses the dispute at issue.” (*Chiron Corp. v. Ortho Diagnostic Systems, Inc.* (9th Cir. 2000) 207 F.3d 1126, 1130.) To determine “whether a valid contract to arbitrate exists,” courts apply “ordinary state law principles that govern contract formation.” (*Davis v. Nordstrom, Inc.* (9th Cir. 2014) 755 F.3d 1089, 1093 [citations omitted]; *Ingle v. Circuit City Stores, Inc.* (9th Cir. 2003) 328 F.3d 1165, 1170.)

Code of Civil Procedure section 1281.2 provides: “On petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy and that a party to the agreement refuses to arbitrate such controversy, the court shall order the petitioner and respondent to arbitrate the controversy if it determines that an agreement to arbitrate the controversy exists, unless it determines that: [¶] The right to compel arbitration has been waived by the petitioner; or [¶] (b) Grounds exist for rescission of the agreement.”

In determining the threshold question of whether an arbitration agreement exists between the parties, the court employs a three-step burden shifting analysis. (*Iyere v. Wise Auto Group* (2023) 87 Cal.App.5th 747, 755 (*Iyere*); *Espejo v. Southern California Permanente Medical Group* (2016) 246 Cal.App.4th 1047, 1060.) The party seeking to compel arbitration bears the initial burden of showing an agreement to arbitrate. If that burden is met, the burden shifts to the opposing party to show a factual dispute regarding the agreement’s existence. If the opposing party does so, then the burden shifts back to the proponent of arbitration to show the existence of a valid agreement by a preponderance of the evidence. (*Iyere, supra*, 87 Cal.App.5th at p. 755.)

ANALYSIS

There is a Valid Agreement to Arbitrate

The arbitration provision in the RISC provides, in relevant part:

Any claim or dispute, whether in contract, tort, statute or otherwise (including the interpretation and scope of this Arbitration Provision, any allegation of waiver of rights under this Arbitration Provision, and the arbitrability of the claim or dispute), between you and us or our employees, agents, successors or assigns, which arises out of or relates to your credit application, purchase or condition of this Vehicle, this contract or any resulting transaction or relationship (including any such relationship with third parties who do not sign this contract) shall, at your or our election, be resolved by neutral, binding arbitration and not by a court action.

(Lambert Decl., Ex. A at p. 5.) Plaintiff does not dispute that he signed the RISC when he purchased the Subject Vehicle. Plaintiff signed and acknowledged the following notice of the arbitration provision: **“Agreement to Arbitrate.** By signing below, you agree that pursuant to the Arbitration Provision on page 5 of this contract, you or we may elect to resolve any dispute by neutral, binding arbitration and not by a court action. See the Arbitration Provision for additional information concerning the agreement to arbitrate.” (*Id.*, Ex. A at p. 1.) The RISC further drew the arbitration provision to Plaintiffs’ attention through the following disclaimer: “YOU ACKNOWLEDGE THAT YOU HAVE READ ALL PAGES OF THIS CONTRACT, INCLUDING THE ARBITRATION PROVISION ON PAGE 5, BEFORE SIGNING BELOW.” (*Id.*, Ex. A at p. 6.) Plaintiff’s signature on those sections of the RISC indicates express assent to the arbitration provision. (See *Mendoza v. Trans Valley Transport* (2022) 75 Cal.App.5th 748, 777 [“ ‘ “A party’s acceptance of an agreement to arbitrate may be express, as where a party signs the agreement.” ’ ”].)

Plaintiff argues Dealership failed to properly authenticate the RISC and thus failed to meet its burden of proving the existence of a valid agreement to arbitrate. “The moving party can meet its initial burden by attaching to the [motion or] petition a copy of the arbitration agreement purporting to bear the [opposing party’s] signature. Alternatively, the moving party can meet its burden by setting forth the agreement’s provisions in the motion.” (*Gamboa v. Northeast Community Clinic* (2021) 72 Cal.App.5th 158, 165, internal citations and quotations omitted.) Here, Dealership attached a copy of the RISC signed by Plaintiff as Exhibit A to the Declaration of Sarah Carlson Lambert. Dealership has also set forth the terms of the arbitration provision in the motion itself. (Mtn. to Compel Arbitration at pp. 3:16-4:22.) In any event, “[f]or purposes of a petition to compel arbitration, it is not necessary to follow the normal procedures of authentication.” (*Gamboa, supra*, 72 Cal.App.5th at pp. 165-166.) Dealership has shown a valid agreement to arbitrate.

The Scope of the Arbitration Agreement Covers Plaintiff's Claims

Here, the arbitration provision broadly applies to “[a]ny claim or dispute, whether in contract, tort, statute or otherwise..., between you and us..., which arises out of or relates to

your credit application, purchase or condition of this Vehicle, this contract or any resulting transaction or relationship.” (Lambert Decl., Ex. A at p. 5.) Plaintiff’s sole cause of action against Dealership is a tort action for negligent repair. Plaintiff and Dealership are the parties to the transaction. Plaintiff’s action relates to the condition of the vehicle, namely the condition of the vehicle following repair by Dealership. That the allegedly negligent repair occurred after the parties signed the RISC is ultimately irrelevant because the arbitration provision states it applies to both “this contract” and “any resulting transaction or relationship” between the parties. Plaintiff’s claim against Dealership is covered by the arbitration provision.

Plaintiff relies on *Ford Motor Warranty Cases* (2025) 17 Cal.5th 1122 to argue “warranty performance is not arbitrable through the form Sales Contract proffered by [Dealership].” (Opposition at p. 2:16-18.) That opinion is distinguishable. *Ford Motor Warranty Cases* involved an attempt by an automobile manufacturer to compel arbitration based on a sales contract between a buyer and a dealership to which the manufacturer was not a party. The Supreme Court rejected the manufacturer’s attempt to compel arbitration on a third party equitable estoppel theory. (*Id.* at p. 1126.) By contrast, here the entity petitioning to compel arbitration is a party to the contract containing the arbitration provision. The RISC is an agreement Plaintiff entered into with Dealership. As the dealership and a party to the agreement, Dealership may compel arbitration of Plaintiff’s claims.

Dealership Has Not Waived its Right to Arbitrate

Waiver is for a court and not an arbitrator to decide. (*Dardashty v. Hyundai Motor Am.* (C.D. Cal. 2024) 745 F.Supp.3d 986, 998 (*Dardashty*).) “Courts in California . . . have recognized that when the FAA applies, whether a party has waive[d] its right to arbitrate is a matter of federal law not state substantive law.” (*Madrigal v. New Cingular Wireless Services, Inc.* (E.D. Cal. Aug. 17, 2009) 09-CV-00033-OWW-SMS, 2009 U.S. Dist. LEXIS 72416 at *8.) Under federal law, waiver of a right to arbitrate occurs where a party can demonstrate: “(1) knowledge of an existing right to compel arbitration; (2) acts inconsistent with that existing right; and (3) prejudice to the party opposing arbitration resulting from such inconsistent acts.” (*Brown v. Dillard’s Inc.* (9th Cir. 2005) 430 F.3d 1004, 1012.) “Because the right to arbitrate is a contractual right, a party arguing waiver of that right bears a ‘heavy burden of proof.’” (*DeMartini v. Johns* (C.D. Cal. Oct. 9, 2012) 3:12-cv-03929-JCS, 2012 U.S. Dist. LEXIS 145436 at *15.)

Plaintiff argues Dealership has waived its right to arbitration by waiting over nine months to file its Motion to Compel Arbitration. Plaintiff contends “[i]n sum, courts find that delays of mere months to be unreasonable and justification for a waiver finding.” (Opposition at pp. 3:27-4:1.) However, Plaintiff’s cited authorities are distinguishable in that there was not only a delay in moving to arbitrate, but also the presence of other factors. (*Guess?, Inc. v. Superior Court* (2000) 79 Cal.App.4th 553, 557-558 [noting that the defendant did not plead its right to arbitrate as an affirmative defense, and that the defendant fully participated in the discovery process including depositions]; *Kaneko Ford Design v. Citypark, Inc.* (1988) 202 Cal.App.3d 1220, 1228 [noting that the appellant participated in settlement negotiations without notifying the respondent of its intent to seek arbitration]; *Adolph v. Coastal Auto Sales, Inc.* (2010) 184 Cal.App.4th 1443, 1452 [noting that the defendant filed its petition to compel arbitration only slightly more than three months before trial and two months before the discovery cut off]; *Augusta v. Keehn & Associates* (2011) 193 Cal.App.4th 331, 338-339

[noting that the defendant participated in discovery, filed a motion for sanctions, and demurrer].)

Although there has been some delay by Defendant in moving to compel arbitration, the facts here, taken as a whole, do not demonstrate that Defendant has waived its right to arbitration. Dealership waited about eight months after filing its answer and twelve months after the complaint had been filed to move to compel arbitration. “Typically, a party waives their right to arbitrate when they have waited years, not months to request arbitration.” (*Dardashty, supra*, 745 F.Supp.3d at p. 999.) In the absence of other factors, this delay is insufficient to find waiver. (*Khalatian v. Prime Time Shuttle, Inc.* (2015) 237 Cal.App.4th 651, 663 [finding a 14-month delay between the filing of the original complaint and the motion to compel arbitration insufficient to support waiver].) Dealership’s answer includes arbitration as an affirmative defense. Dealership has not propounded or responded to any discovery in this matter. (Lambert Decl. at ¶¶ 6, 7.) Dealership has only filed case management statements and made appearances for case management conferences in this matter. (*Id.* at ¶ 5.) Accordingly, Dealership has not engaged in any litigation-related conduct. No trial date has been set in these proceedings. (*Id.* at ¶ 8.) Therefore, no waiver has occurred, and Dealership may move to arbitrate the single claim asserted against it.

The court does not reach Dealership’s arguments regarding the lack of unconscionability. Plaintiff forfeited any argument about unconscionability by not addressing Dealership’s arguments on those points.

This Action is Stayed in its Entirety

Dealership requests a stay of the entire action. As Dealership notes, Plaintiff has sued two entities, Jaguar Land Rover North America, LLC and Dealership, for different causes of action. Dealership argues “[p]roceeding against both defendants in separate forums carries an extremely high risk of rendering inconsistent rulings and rendering arbitration as to [Dealership] ineffective.” (Reply at p. 10:6-8.) Plaintiff has not offered any arguments opposing a stay to the entire action. A stay of these proceedings is proper under Code of Civil Procedure § 1281.4 and 9 U.S.C. § 3. The court STAYS this action in its entirety pending the outcome of arbitration.

CONCLUSION

The petition to compel arbitration is GRANTED. This action is STAYED in its entirety pending the outcome of arbitration.

The court will prepare the order.

- oo0oo -

Calendar Line 3

Case Name: *JOHN DOE L.M., vs. EVERGREEN ELEMENTARY SCHOOL DISTRICT et al*

Case No.: 25CV471073

PLAINTIFF'S MOTION TO COMPEL DEFENDANT EVERGREEN ELEMENTARY SCHOOL DISTRICT'S FURTHER RESPONSES AND PRODUCTION TO REQUESTS FOR PRODUCTION OF DOCUMENTS, SET ONE

FACTUAL AND PROCEDURAL BACKGROUND

Plaintiff John Doe L.M. was subjected to childhood sexual abuse by Craig Chandler during the 2007–2008 school year at O.B. Whaley Elementary School, when Plaintiff was approximately ten years old. Chandler was employed by Defendant Evergreen Elementary School District as a teacher at Whaley Elementary. In November 2013, Chandler was convicted of aggravated sexual assault of a child and sentenced to seventy-five years to life in prison.

Plaintiff filed this action on July 21, 2025, asserting causes of action against the District including negligent hiring, supervision, and retention of unfit employee under Government Code sections 815.2 and 820; failure to report suspected child abuse under Government Code sections 815.2, 815.6, and 820; and negligent supervision of a minor under Government Code sections 815.2 and 820.

Plaintiff served Requests for Production of Documents, Set One, on September 26, 2025. After obtaining multiple extensions, the District served responses on December 9, 2025. On January 16, 2026, Plaintiff served a detailed meet-and-confer letter identifying deficiencies in the District's responses to Requests for Production Nos. 1 through 4, 8 through 12, 17 through 24, 26 through 28, 45 through 46, and 48, and requested supplemental responses by January 22, 2026. The parties met and conferred telephonically on January 29, 2026. The parties' protective order was entered on April 21, 2026.

LEGAL STANDARD

On receipt of a response to inspection demands, the demanding party may move for an order compelling further response if the demanding party deems an answer or statement of compliance to be evasive or incomplete, or an objection to be without merit or too general. The motion must set forth specific facts showing good cause justifying the discovery sought.

A party responding to a demand for inspection must state that it will comply with the demand, make a representation of inability to comply, or object to the demand. When a party represents inability to comply, it must affirm that a diligent search and reasonable inquiry have been made and must state whether the requested item has never existed, has been destroyed, has been lost or misplaced, or has never been or is no longer in the responding party's possession, custody, or control.

If the responding party objects to a demand for inspection on the basis of privilege, the response must provide sufficient factual information for other parties to evaluate the merits of that claim, including, if necessary, a privilege log.

Any matter, not privileged, that is relevant to the subject matter involved in the pending action is discoverable if it would itself be admissible in evidence or appears reasonably calculated to lead to the discovery of admissible evidence. In any action, any party may obtain discovery of the existence and contents of any agreement under which any insurance carrier may be liable to satisfy in whole or in part a judgment which may be entered in the action or to indemnify or reimburse for payments made to satisfy the judgment.

DISCUSSION

(A) Chandler's Personnel File and Screening/Training Records (RFPs 1-4, 8, 10-12, 19, 26-28, 48)

The District does not oppose production of Chandler's personnel file on the terms ordered. The default entered against Chandler on April 2, 2026 resolves the consent condition previously asserted. As to pre-hire screening and site-level records sought in RFPs 3 and 4, the requests reach documents beyond the central personnel file, including background investigation reports, reference checks, interview notes, screening materials, and site-level, informal, confidential, or blind personnel files. The District's conditional offer to produce only the personnel file does not address whether such records exist outside that file, and Code of Civil Procedure section 2031.230 requires a verified statement identifying the custodians and repositories searched and specifying whether responsive documents never existed, were destroyed, were lost or misplaced, or are not in the District's possession, custody, or control. As to RFP No. 8, the District shall serve a supplemental response clarifying that the August 6, 2012 confidential investigation conducted by attorney Cheryl A. Stevens is withheld on privilege grounds and directing Plaintiff to the privilege log for particulars

The motion is GRANTED as to RFPs 1-4, 8, 10-12, 19, 26-28, and 48.

(B) Complaints, Reports, and Internal Investigations (RFPs 9, 20-23, 27)

The District's inability-to-comply responses to RFP No. 9 and RFPs 20-23 and 27 do not satisfy Code of Civil Procedure section 2031.230's requirement that the responding party identify the search performed, the custodians consulted, and specify whether responsive documents never existed, were destroyed, were lost or misplaced, or are not in the District's possession, custody, or control. These categories of documents are directly relevant to Plaintiff's claims of negligent hiring, supervision, and retention, and failure to report suspected child abuse. Any documents withheld on privilege grounds must be identified with particularity as required by Code of Civil Procedure section 2031.240.

The motion is GRANTED as to RFPs 9, 20-23, and 27.

(C) Law Enforcement and CTC Communications (RFPs 17-18)

Documents in third-party hands that the District received, retained, transmitted, or has the practical ability to obtain are within the District's possession, custody, or control for discovery purposes. Code of Civil Procedure section 2031.230 requires the District to serve code-compliant further responses addressing all such documents and to produce all responsive non-

privileged materials, together with a privilege log under section 2031.240 for any withheld documents.

The motion is GRANTED as to RFPs 17-18.

(D) Insurance and Coverage (RFP 45)

To the extent RFP No. 45 seeks traditional policies of insurance, the request fails because self-insurance is not insurance within Insurance Code section 22. However, Code of Civil Procedure section 2017.210 reaches written agreements under which any person or entity may be liable to satisfy or indemnify a judgment. The District's blanket no responsive documents exist or have ever existed response is inconsistent with the District's verified admissions in Form Interrogatories 4.1 and 4.2 that it participates in a Joint Powers Authority and maintains self-insured coverage through that arrangement. The District must serve a supplemental verified response stating whether it has any written JPA participation agreement, memorandum of coverage, declaration of coverage, excess or reinsurance agreement, or similar written instrument governing its participation in the JPA referenced in its Form Interrogatory responses.

The motion is GRANTED IN PART and DENIED IN PART as to RFP 45.

(E) Yearbooks and Witness Identification (RFP 46)

The District's amended response asserting inability to comply in whole because responsive items were lost or destroyed in the regular course of business does not satisfy Code of Civil Procedure section 2031.230's particularity requirement. The District must identify which school-year yearbooks are and are not available, and for each unavailable yearbook must state when and how it became unavailable and identify any applicable retention policy. The District's opposition references Principal Albums from O.B. Whaley Mem. in Opp'n to Mot. to Compel, and those albums must be made available for inspection.

The motion is GRANTED as to RFP 46.

(F) Rule 3.1113 Page-Limit Challenge

The District's request that the motion be denied as noncompliant with California Rules of Court, rule 3.1113(d) and (g) is without merit. The Court, in its discretion, considers the motion on the merits notwithstanding the over-length memorandum, as the scope of the disputed requests and the overlapping legal issues warrant merits review.

The procedural challenge is DENIED.

(G) Monetary Sanctions

Plaintiff's request for monetary sanctions is granted in part. The Court finds substantial justification as to the personnel-file group of requests but does not find substantial justification as to the responses concerning insurance (RFP No. 45), yearbooks (RFP No. 46), or the requests as to which the District did not substantively defend its responses.

Monetary sanctions are GRANTED IN PART in the amount of \$1,500.00.

Plaintiff shall submit final proposed order consistent with this ruling, accompanied by the necessary EFS-020 form, within 7 days of the hearing.

- oo0oo -

Calendar line 4

Case Name: *Lemus v. Lin, et al.*

Case No.: 25CV472390

Defendant Ming Tak Lin's Motion to Compel Responses to Form Interrogatories, Set One, Special Interrogatories, Set One, and Demand for Inspection, Set One; Request for Monetary Sanctions

BACKGROUND

This is a personal injury action arising from a premises liability incident. Plaintiff alleges that on 08/08/2023 he was conducting work on and around Defendant's roof when he fell from the roof. The complaint asserts causes of action for premises liability and general negligence against defendant Ming Tak Lin.

PROCEDURAL HISTORY

Defendant served plaintiff with Form Interrogatories, Set One, Special Interrogatories, Set One, and a Demand for Inspection, Set One on November 7, 2025. To date, no response has been received.

Defendant made multiple attempts to obtain responses through meet and confer efforts. On December 30, 2025 to no avail.

Defendant filed the present motion on April 13, 2026. No opposition has been filed.

LEGAL STANDARD**Motion to Compel Responses to Interrogatories**

Section 2031.300 and Section 2030.290 of the Code of Civil Procedure provides that a propounding party may move the Court for its order compelling responses when the party to whom discovery in the form of Request for Production of Documents and Interrogatories is directed fails to serve a timely response.

When a party fails to serve timely responses to interrogatories, the party waives objections to the interrogatories. The propounding party need not demonstrate good cause or meet and confer as prerequisites to a motion to compel initial responses.

Motion to Compel Responses to Requests for Production

When a party fails to serve timely responses to requests for production of documents, the propounding party may move for an order compelling responses, and the responding party waives objections to the demand.

Monetary Sanctions

CCP § 2031.300 and §2030.290 state that the Court shall impose a monetary sanction under Chapter 7 (commencing with 2023.010) of the Code of Civil Procedure against any party or attorney who unsuccessfully makes or opposes a motion to compel responses, unless the Court finds that the party subject to this action acted with substantial justification or finds that their circumstances make the imposition of sanctions unjust.

Rule 3.1348 of the California Rules of Court states in relevant part: The court may award sanctions under the Discovery Act in favor of a party who files a motion to compel discovery, even though no opposition to the motion was filed, or opposition to the motion was withdrawn, or the requested discovery was provided to the moving party after the motion was filed.

ANALYSIS

Merits of Motion to Compel

Defendant served Form Interrogatories, Set One, Special Interrogatories, Set One, and Demand for Inspection, Set One on plaintiff on November 7, 2025. More than ten months have elapsed since service. No responses have been served. Plaintiff has not filed an opposition to this motion and has not demonstrated any substantial justification for the failure to respond.

Because plaintiff failed to serve timely responses, plaintiff has waived all objections to the discovery requests. The motion to compel is procedurally proper and substantively meritorious.

The motion to compel responses to Form Interrogatories, Set One is GRANTED. Plaintiff shall serve verified responses, without objections, within 15 days of service of this order.

The motion to compel responses to Special Interrogatories, Set One is GRANTED. Plaintiff shall serve verified responses, without objections, within 15 days of service of this order.

The motion to compel responses to Demand for Inspection, Set One is GRANTED. Plaintiff shall serve verified responses, without objections, and produce all responsive documents within 15 days of service of this order.

Monetary Sanctions

Defendant requests \$1,050.00 plus the \$60.00 filing fee, for reasonable costs and attorney's fees in connection with this motion, at the rate of \$350.00 per hour for three hours in the compilation of exhibits and preparation of this motion.

The court finds that sanctions are mandatory because plaintiff failed to respond to properly served discovery and has not opposed the motion or shown substantial justification for the failure to respond.

However, the court finds that the amount requested is excessive for a straightforward motion to compel initial responses where no opposition was filed. This type of motion is largely formulaic and does not require extensive legal research or analysis. Two hours of attorney time

at \$350.00 per hour is reasonable for preparing this motion, including compilation of exhibits, drafting the notice of motion, memorandum of points and authorities, and declaration.

Sanctions are GRANTED in the reduced amount of \$700.00 in attorney's fees Plaintiff Eriberto Lemus and his counsel of record, jointly and severally, shall pay sanctions of \$720.00 to defendant within 15 days of service of this order.

ORDER

1. Defendant's motion to compel responses to Form Interrogatories, Set One is GRANTED. Plaintiff Eriberto Lemus shall serve verified, code-compliant responses without objections within 15 days of service of this order.
2. Defendant's motion to compel responses to Special Interrogatories, Set One is GRANTED. Plaintiff Eriberto Lemus shall serve verified, code-compliant responses without objections within 15 days of service of this order.
3. Defendant's motion to compel responses to Demand for Inspection, Set One is GRANTED. Plaintiff Eriberto Lemus shall serve verified, code-compliant responses without objections and produce all responsive documents within 15 days of service of this order.
4. Monetary sanctions are GRANTED in the amount of \$700.00. Plaintiff Eriberto Lemus and his counsel of record, jointly and severally, shall pay monetary sanctions to defendant Ming Tak Lin in the amount of \$700.00 within 30 days of service of this order.

Defendant shall submit final proposed order consistent with this ruling, accompanied by the necessary EFS-020 form, within 7 days of the hearing.

- oo0oo -

Calendar Line 5

Case Name: *Amy Cohen v. Odd Fellow-Rebekah Children's Home of California et al.*

Case No.: 25CV479287

BACKGROUND

Plaintiff Amy Cohen is a child and adolescent psychiatrist who began providing remote psychiatric services to children at the Odd Fellow-Rebekah Children's Home ("Rebekah Children's Home") facility in Gilroy, California on March 23, 2023. (Complaint at ¶ 12.) Plaintiff was retained to work for Rebekah Children's Home through LT Medical, LLC and Locumtenens.com, LLC. Plaintiff alleges she was misclassified as an independent contractor. Plaintiff alleges Defendants controlled her schedule, caseload, and clinical work through the Chief Clinical Officer Julio Villareal ("Villareal"). (*Id.* at ¶ 13.)

In 2024, Plaintiff reported concerns about a colleague to Villareal. (Complaint at ¶ 17.) Thereafter, Villareal began to micromanage her work. (*Id.* at ¶ 18.) On September 4, 2025, Defendants issued a 30-day termination notice on the grounds that they had hired an on-site psychiatrist. (*Id.* at ¶ 20.) Plaintiff was placed on unpaid administrative leave on September 8, 2025. (*Id.* at ¶ 21.) Her termination was accelerated to September 11, 2025 because of "clinical issues." (*Id.* at ¶ 22.) Plaintiff alleges she was replaced by two substantially younger and less experienced psychiatrists. (*Id.* at ¶ 36.)

Plaintiff filed suit on November 3, 2025. Plaintiff alleges twenty causes of action against all Defendants for (1) age discrimination; (2) retaliation for protected activity; (3) harassment and hostile work environment; (4) failure to prevent discrimination, harassment, and retaliation; (5) wrongful termination in violation of public policy; (6) whistleblower retaliation; (7) retaliation for exercising Labor Code rights; (8) breach of employment contract with specified term; (9) breach of the implied covenant of good faith and fair dealing; (10) intentional interference with professional relations; (11) defamation; (12) negligent hiring, supervision, and retention; (13) failure to pay overtime; (14) failure to provide meal periods; (15) failure to provide rest periods; (16) failure to reimburse business expenses; (17) failure to provide accurate itemized wage statements; (18) failure to maintain required payroll and employment records; (19) failure to provide employment records upon request; and (20) unfair business practices.

Defendants LT Medical, LLC and Locumtenens.com, LLC (collectively "Defendants") move to compel arbitration of Plaintiff's claims pursuant to the arbitration provision contained in the Services Agreement ("the Agreement"). Defendant Rebekah Children's Home joins the motion. Having considered the Agreement and the circumstances of its execution, the Court will GRANT the motion to compel arbitration and stay the action. The Court GRANTS Defendants' Request for Judicial Notice pursuant to Evidence Code section 452, subd. (h).

LEGAL STANDARD

Defendants argue the Federal Arbitration Act ("FAA") applies because their operations affect interstate commerce. The FAA's term involving commerce is interpreted broadly. The basic coverage provision of the FAA "makes the law applicable to contracts evidencing a transaction 'involving commerce' (9 U.S.C. § 2), which language reflects that Congress intended the law's coverage to extend to the full reach of its commerce clause power." (*Nieto v. Fresno Beverage Co.* (2019) 33 Cal.App.5th 274, 279 [internal citations omitted].)

“Congress Commerce Clause power ‘may be exercised in individual cases without showing any specific effect upon interstate commerce’ if in the aggregate the economic activity in question would represent ‘a general practice . . . subject to federal control.’” (*Citizens Bank v. Alafabco, Inc.* (2003) 539 U.S. 52, 56-57 [quoting *Mandeville Island Farms, Inc. v. American Crystal Sugar Co.* (1948) 334 U.S. 219, 236].)

The Declaration of Lauren Robinette provides, that LT Medical, LLC and Locumtenens.com, LLC operate as part of an integrated nationwide healthcare staffing enterprise. (Declaration of Lauren Robinette [“Robinette Decl.”] at ¶ 2.) They are both headquartered in Alpharetta, Georgia. (*Ibid.*) LT Medical, LLC recruits medical professionals in multiple states through online platforms, company websites, telephone communications, and electronic mail. (Robinette Decl. at ¶ 3.) Locumtenens.com, LLC contracts with hospitals, medical groups, and other healthcare entities located in multiple states. (*Ibid.*) A physician can be engaged to provide services for more than one client in different states, while physically located in another state. (*Ibid.*) These activities meet the broad definition for interstate commerce.

Under the FAA, the court’s role is limited to determining “(1) whether a valid agreement to arbitrate exists, and if it does (2) whether the agreement encompasses the dispute at issue.” (*Chiron Corp. v. Ortho Diagnostic Systems, Inc.* (9th Cir. 2000) 207 F.3d 1126, 1130.) To determine “whether a valid contract to arbitrate exists,” courts apply “ordinary state law principles that govern contract formation.” (*Davis v. Nordstrom, Inc.* (9th Cir. 2014) 755 F.3d 1089, 1093 (*Davis*), citations omitted; see also *Ingle v. Circuit City Stores, Inc.* (9th Cir. 2003) 328 F.3d 1165, 1170.)

ANALYSIS

California Law Applies

As an initial matter, the Court notes that the Services Agreement provides that it shall be governed by Georgia law. (Robinette Decl., Ex. A. at p. 4.) “California has two different analyses for selecting which law should be applied in an action.” (*Washington Mutual Bank, F.A. v. Super. Ct.* (2001) 24 Cal.4th 906, 914-15.) “When the parties have an agreement that another jurisdiction’s law will govern their disputes, the appropriate analysis for the trial court to undertake is set forth in *Nedlloyd, supra*, 3 Cal.4th 459¹ [], which addresses the enforceability of contractual choice-of-law provisions.” (*Ibid.*) “Alternatively, when there is no advance agreement on applicable law, but the action involves the claims of residents from outside California, the trial court may analyze the governmental interests of the various jurisdictions involved to select the most appropriate law.” (*Ibid.*)

Here, there is a contractual choice-of-law provision, and so the proper legal standard for evaluating its enforceability is the standard set forth in *Nedlloyd*. In *Nedlloyd*, the California Supreme Court held that when “determining the enforceability of arm’s-length contractual choice-of-law provisions, California courts shall apply the principles set forth in Restatement section 187, which reflect a strong policy favoring enforcement of such provisions.” (*Nedlloyd, supra*, 3 Cal.4th at pp. 464-65.)

¹ *Nedlloyd Lines B.V. v. Superior Court* (1992) 3 Cal.4th 459

“Briefly restated, the proper approach under Restatement section 187, subdivision (2) is for the court first to determine either: (1) whether the chosen state has a substantial relationship to the parties or their transaction, or (2) whether there is any other reasonable basis for the parties’ choice of law.” (*Nedlloyd, supra*, 3 Cal.4th at p. 466.) “If neither of these tests is met, that is the end of the inquiry, and the court need not enforce the parties’ choice of law.” (*Ibid.*) “If, however, either test is met, the court must next determine whether the chosen state’s law is contrary to a *fundamental* policy of California.” (*Ibid.*, original italics.) “If there is no such conflict, the court shall enforce the parties’ choice of law.” (*Ibid.*) “If, however, there is a fundamental conflict with California law, the court must then determine whether California has a ‘materially greater interest than the chosen state in the determination of the particular issue. . . .’ [Citation.]” (*Ibid.*) “If California has a materially greater interest than the chosen state, the choice of law shall not be enforced, for the obvious reason that in such circumstance we will decline to enforce a law contrary to this state’s fundamental policy.” (*Ibid.*)

Georgia does not have a substantial relationship to the parties and their transactions. Plaintiff did not work in Georgia or see any Georgia-based patients. The violations complained of in Plaintiff’s pleadings did not take place in Georgia. Plaintiff is a resident of Tennessee who worked remotely to perform services in California. Plaintiff has not invoked Georgia law for the causes of action alleged in her complaint. The only reasonable basis for applying Georgia law is that Defendants LT Medical, LLC and Locumtenens.com LLC are headquartered in Alpharetta, Georgia.

The application of Georgia law is contrary to a fundamental policy of California. Plaintiff’s complaint goes beyond alleging breach of contract but also includes statutory claims alleged under the California Fair Employment and Housing Act and Labor Code. These are non-waivable public policy rights. Plaintiff’s primary allegation is that she was misclassified as an independent contractor under California law. Defendants have not identified a Georgia analogue that provides equivalent protection. To the extent Defendants maintain Georgia law applies, they have inconsistently referenced both Georgia law and California law throughout their papers.² California has a materially greater interest than Georgia because the alleged violations complained of concern the services Plaintiff provided in California. Plaintiff performed work at a California facility, the alleged unlawful practices including wrongful termination were committed in California, and non-waivable California statutory rights are at issue. The underlying conduct occurred here. For these reasons, California law applies.

There is a Valid Agreement to Arbitrate

“The moving party bears the burden of producing prima facie evidence of a written agreement to arbitrate the controversy. The moving party can meet its initial burden by attaching to the [motion or] petition a copy of the arbitration agreement purporting to bear the [opposing party’s] signature.” (*Gamboa v. Northeast Community Clinic* (2021) 72 Cal.App.5th 158, internal citations and quotations omitted.) Defendant as attached a copy of the Services

² Defendants cite California law for their arguments on third party beneficiary/equitable estoppel, waiver, delegation, and unconscionability. (See, e.g., Motion to Compel Arbitration at pp. 18:21-21:11; Reply at pp. 3:9-4:1, 5:10-8:9.) Defendants cite Georgia law to argue there is a valid agreement to arbitrate. (Motion to Compel Arbitration at pp. 16:13-17:2.)

Agreement containing the arbitration provision to its motion, and has, therefore, met its initial burden. (Robinette Decl., Ex. A.) The Agreement provides:

Any controversy or claim arising out of or relating to the interpretation, enforcement or breach of this Services Agreement or the relationship between the parties hereto shall be resolved by binding arbitration in accordance with the Commercial Arbitration Rules for the American Arbitration Association at any arbitration hearing to be held in Atlanta, Georgia. If LT Medical prevails, Contractor agrees to pay the cost of the arbitrator(s) and AAA fees and for reasonable expenses incurred by LT Medical in connection with the arbitration, including attorneys' fees. This paragraph shall be specifically enforceable. The award rendered by the arbitrator(s) may be entered and enforced in any court of competent jurisdiction.

(*Id.*, Ex. A at p. 3.)

Here, Plaintiff affixed her signature to the Agreement on September 30, 2015. (Robinette Decl., Ex. A at p. 4.) "A party's acceptance of an agreement to arbitrate may be express, as whether a party signs the agreement." (*Mendoza v. Trans Valley Transport* (2022) 75 Cal.App.5th 748, 777.) Moreover, "[u]nder Civil Code section 1633.7 . . . an electronic signature has the same legal effect as a handwritten signature." (*Espejo v. Southern California Permanente Medical Group* (2016) 246 Cal.App.4th 1047, 1060.) Defendant has set forth the procedures undertaken to authenticate Plaintiff's signature in the Declaration of Lauren Robinette. Plaintiff does not truly dispute that she signed the Agreement. Therefore, Defendants have met their burden of proving a valid agreement to arbitrate.

Defendants Rebekah Children's Home and Locumtenens.com, LLC May Move to Compel Arbitration

Defendants Rebekah Children's Home and Locumtenens.com, LLC are not signatories to the Services Agreement and yet move to compel arbitration of Plaintiff's claims. "Because arbitration is a matter of contract, the basic rule is that one must be a party to an arbitration agreement to be bound it or invoke it—with limited exceptions." (*Soltero v. Precise Distribution, Inc.* (2024) 102 Cal.App.5th 887, 892-893.) "Whether an arbitration agreement is binding on a third party (e.g. a nonsignatory) is a question of law subject to de novo review." (*Benaroya v. Willis* (2018) 23 Cal.App.5th 462, 468.) "There are circumstances in which nonsignatories to an agreement containing an arbitration clause can be compelled to arbitrate under that agreement. As one authority has stated, there are six theories by which a nonsignatory may be bound to arbitrate '(a) incorporation by reference; (b) assumption; (c) agency; (d) veil-piercing or alter ego; (e) estoppel; and (f) third party beneficiary.'" (*Id.* at p. 469 [citing *Suh v. Superior Court* (2010) 181 Cal.App.4th 1504, 1513].)

Defendants maintain they can compel arbitration of Plaintiff's claims based on third party beneficiary theory and equitable estoppel.³ The Agreement makes clear "[y]ou

³ Defendants also assert direct benefits theory as a basis for permitting third parties to move to compel arbitration. However, this is an equitable estoppel doctrine, and the Court need not consider it separately. In any event, the non-signatory Defendants are not resisting arbitration such that they would be estopped from refusing to arbitrate after accepting the benefits of the contract under this doctrine.

understand and acknowledge that you are contracting with LT Medical, *not LocumTenens.com, LLC*, but that LocumTenens.com will be providing many of the day-to-day support and placement services for you on behalf of LT Medical.” (Robinette Decl., Ex. A at p. 1, emphasis added.) Thus, the Agreement is explicitly between Plaintiff and LT Medical. However, the Agreement also provides “[t]his Services Agreement provides the terms and conditions upon which you agree to provide professional medical services in your specialty area set forth below your signature on a locum tenens basis to clients of LT Medical or its affiliates (including LocumTenens.com, LLC) (each a “Client”) or Client’s assigned facility as an independent contractor of LT Medical.” (*Ibid.*) Thus, while not signatories to the Agreement, the terms concern the nature of services provided to affiliates like Locumtenens.com, LLC and clients like Rebekah Children’s Home. These Defendants are, therefore, the intended beneficiaries of the services provided pursuant to the Services Agreement.

“[T]he *sine qua non* for application of equitable estoppel as the basis for allowing a nonsignatory to enforce an arbitration clause is that the claims the plaintiff asserts against the nonsignatory must be dependent upon, or founded in and inextricably intertwined with the underlying contractual obligations of the agreement containing the arbitration clause.” (*Goldman v. KPMG, LLP* (2009) 173 Cal.App.4th 209, 217-218.) As noted above, Locumtenens.com, LLC is an affiliate of LT Medical, LLC, and Rebekah Children’s Home is its client. Plaintiff has alleged that Defendants are joint employers. (Complaint at ¶ 5.) Plaintiff alleges all twenty causes of action, including breach of contract, against all Defendants even though they are not all signatories to the Agreement. Plaintiff alleges Defendants, including Rebekah Children’s Home, breached the Agreement by failing to provide 30-days notice of termination. Plaintiff cannot rely on the Agreement and repudiate it at the same time. Thus, the claims asserted against Defendants Locumtenens.com, LLC and Rebekah Children’s Home are intertwined with the underlying contractual obligations of the Agreement. For these reasons, the court concludes Defendants Locumtenens.com, LLC and Rebekah Children’s Home may also move to compel arbitration pursuant to the Agreement.

The Agreement Contains a Delegation Clause

Defendant argues the parties agreed to delegate questions of arbitrability to the arbitrator. The question of whether the parties agreed to arbitrate a particular dispute is generally to be decided by the court. (*AT&T Technologies, Inc. v. Communications Workers of America* (1986) 475 U.S. 643, 649.) The parties may, however, agree to submit the arbitrability question itself to arbitration. (*First Options of Chicago, Inc. v. Kaplan* (1995) 514 U.S. 938, 943.) Courts should find that the parties agreed to arbitrate arbitrability only where there is clear and unmistakable evidence that they did so, resolving any ambiguity in favor of a finding that the issue is for the court to determine. (*Id.* at pp. 944-45.) “An arbitration provision’s reference to, or incorporation of, arbitration rules that give the arbitrator the power or responsibility to decide issues of arbitrability may constitute clear and unmistakable evidence the parties intended the arbitrator to decide those issues.” (*Aanderud v. Superior Court* (2017) 13 Cal.App.5th 880, 893 (*Aanderud*)).

In this regard, the Agreement provides “[a]ny controversy or claim arising out of or relating to the interpretation, enforcement or breach of this Services Agreement or the relationship between the parties hereto shall be resolved by binding arbitration in accordance with the Commercial Arbitration Rules for the American Arbitration Association at any arbitration hearing to be held in Atlanta, Georgia.” (Robinette Decl., Ex. A at p. 3.) The

language of the delegation clause here is clear and unmistakable that any claims relating to the interpretation, enforcement, breach, or relationship between the parties shall be heard in arbitration. The Agreement also includes reference to the Commercial Arbitration Rules for the American Arbitration Association, which is further evidence that the parties intended the arbitrator decide those issues. Plaintiff does not dispute the existence of the delegation clause. Rather, Plaintiff attempts to argue the delegation clause is unconscionable.

The Fee-Shifting Provision is Unconscionable

The party challenging a contractual arbitration provision bears the burden of proving that it is both procedurally and substantively unconscionable. (*OTO, L.L.C. v. Kho* (2019) 8 Cal.5th 111, 126 (*OTO*)). This may be done on a sliding scale, where the more substantively oppressive the contract term, the less evidence of procedural unconscionability is required, and vice versa. (*Id.* at pp. 125-126.) Nevertheless, both must be shown. Procedural unconscionability focuses on oppression or surprise to the “weaker” party based on unequal bargaining power, whereas substantive unconscionability focuses on the terms of the agreement and whether they are overly harsh or one-sided. (*OTO, supra*, 8 Cal.5th at pp. 125-129.)

“When determining whether a delegation clause is unconscionable, any claim of unconscionability must be specific to the delegation clause.” (*Aanderud, supra*, 13 Cal.App.5th at p. 895 [citing *Rent-A-Center, W., Inc. v. Jackson* (2010) 56 U.S. 63, 73 (*Rent-A-Center*)].) “If the party’s challenge is directed to the agreement as a whole—even if it applies equally to the delegation clause—the delegation clause is . . . enforced . . . [and] the arbitrator, not the court will determine whether the agreement is enforceable.” (*Malone v. Superior Court* (2014) 226 Cal.App.4th 1551, 1559-1560.)

Plaintiff argues the arbitration provision is substantively unconscionable because it imposes unlawful arbitration costs and fee-shifting on Plaintiff. To the extent this implicates the delegation clause, courts are not precluded “from using unconscionability doctrine on a case-by-case basis to protect nonindigent consumers against fees that unreasonably limit access to arbitration.” (*Sanchez v. Valencia Holding Co., LLC* (2015) 61 Cal.4th 899, 920.) The Agreement here provides, “[i]f LT Medical prevails, Contractor agrees to pay the cost of the arbitrator(s) and AAA fees and for reasonable expenses incurred by LT Medical in connection with the arbitration, including attorney’s fees.” (Robinette Decl., Ex. A at p. 3.) In sum, the arbitration provision attempts to shift the costs of arbitration to Plaintiff in the event LT Medical prevails.

Plaintiff is correct that this provision runs afoul of the principles articulated in *Armendariz v. Foundation Health Psychcare Services, Inc.* (2000) 24 Cal.4th 83. The California Supreme Court in *Armendariz* held that “a mandatory employment arbitration agreement that contains within its scope the arbitration of FEHA claims impliedly obliges the employer to pay all types of costs that are unique to arbitration.” (*Armendariz, supra*, 24 Cal.4th at p. 113.) Moreover, “in cases where an employer requires an employee to arbitrate his or her claims including statutory claims, the agreement must be interpreted (in the absence of any express terms to the contrary) to require the employer to pay any usual costs associated with arbitration, such as the arbitrator’s fees.” (*Fittante v. Palm Spring Motors, Inc.* (2003) 105 Cal.App.4th 708, 719.) Consistent with these principles, Defendants must pay the cost for arbitration and cannot impermissibly shift said costs to Plaintiff even if they prevail. Thus, this aspect of the arbitration provision is substantively unconscionable.

This term may, however, be severed from the Agreement without augmenting its terms or changing its central purpose. The interests of justice would be furthered by severance given that the remaining aspects of the Agreement would remain intact. Only a single term has been found unconscionable; therefore, the Agreement is not permeated with unconscionability. (*De Leon v. Pinnacle Property Management Services, LLC* (2021) 72 Cal.App.5th 476, 492-493.) For these reasons, the Court severs the fee-shifting term from the arbitration provision. Accordingly, the remaining aspects of the Agreement with respect to the delegation clause are not unconscionable. Any further arguments pertaining to the interpretation, enforcement, and breach of the Agreement are for the arbitrator to determine.

Defendants Have Not Waived Their Right to Arbitrate

Plaintiff argues Defendant has waived its right to arbitrate by litigating for months and removing this action to federal court. Waiver is for a court and not an arbitrator to decide. (*Dardashty v. Hyundai Motor Am.* (C.D. Cal. 2024) 745 F.Supp.3d 986, 998 (*Dardashty*).) “Courts in California . . . have recognized that when the FAA applies, whether a party has waive[d] its right to arbitrate is a matter of federal law not state substantive law.” (*Madrigal v. New Cingular Wireless Services, Inc.* (E.D. Cal. Aug. 17, 2009) 09-CV-00033-OWW-SMS, 2009 U.S. Dist. LEXIS 72416 at *8.) Under federal law, waiver of a right to arbitrate occurs where a party can demonstrate: “(1) knowledge of an existing right to compel arbitration; (2) acts inconsistent with that existing right; and (3) prejudice to the party opposing arbitration resulting from such inconsistent acts.” (*Brown v. Dillard’s Inc.* (9th Cir. 2005) 430 F.3d 1004, 1012.)

“Because the right to arbitrate is a contractual right, a party arguing waiver of that right bears a ‘heavy burden of proof.’” (*DeMartini v. Johns* (C.D. Cal. Oct. 9, 2012) 3:12-cv-03929-JCS, 2012 U.S. Dist. LEXIS 145436 at *15.) “Further, numerous courts have held that merely removing a case to federal court, where the defendant has not engaged in protracted litigation or obtained discovery, does not give rise to waiver of the right to arbitrate because removal alone is not sufficiently inconsistent with the right to seek arbitration and does not give rise to prejudice.” (*Ibid.* [citing cases].)

Here, Defendants filed their Answer on December 12, 2025. Defendants raised arbitration as an affirmative defense in their Answers.⁴ The instant motion to compel arbitration was not filed until April 17, 2026. Defendants waited four months between filing their Answer and filing this motion. “Typically, a party waives their right to arbitrate when they have waited years, not months to request arbitration.” (*Dardashty, supra*, 745 F.Supp.3d at p. 999.) Defendants maintain they have not propounded any discovery in this matter. To the extent Plaintiff has propounded discovery, Defendants have responded with objections stating that this action is subject to binding arbitration. Defendants have acted consistently with their right to arbitrate and have not waived this right through any litigation-related conduct. As noted above, the removal to federal court does not constitute waiver. This motion has not been filed on the eve of trial as no trial date has been set yet. For these reasons, the Court is persuaded that Defendants have not waived their right to arbitrate.

Arbitration Shall Be Held in California

Plaintiff insists that should the Court compel arbitration, it should condition any order on arbitration in California. “In California, ‘forum selection clauses are valid and may be

⁴ Defendant Rebekah Children’s Home has not asserted arbitration as an affirmative defense in its Answer. However, it promptly moved to join this motion on April 20, 2026. There is no indication that Defendant Rebekah Children’s Home has engaged in any litigation conduct.

given effect, in the court's discretion and in the absence of a showing that enforcement of such a clause would be unreasonable.' [Citation.]" (*Trident Labs, Inc. v. Merrill Lynch Commercial Finance Corp.* (2011) 200 Cal.App.4th 147, 153-154 (*Trident Labs*)).

"The burden of proof is on the plaintiff, and the factors involved in traditional forum non conveniens analysis do not control. [Citation.] 'Instead, the forum selection clause is presumed valid and will be enforced unless the plaintiff shows that enforcement of the clause would be unreasonable under the circumstances of the case.' [Citations.]" (*Trident Labs, supra*, 200 Cal.App.4th at p. 154.)

"In a contract dispute in which the parties' agreement contains a forum selection clause, a threshold issue in a forum non conveniens motion is whether the forum selection clause is mandatory or permissive. A mandatory clause ordinarily is 'given effect without any analysis of convenience; the only question is whether enforcement of the clause would be unreasonable.' [Citation.] But, if 'the clause merely provides for submission to jurisdiction and does not expressly mandate litigation exclusively in a particular forum, then the traditional forum non conveniens analysis applies. [Citation.]" [Citations.] The existence of a permissive forum selection clause is one factor considered along with the other forum non conveniens factors in applying the traditional analysis. [Citation.]" (*Animal Film, LLC v. D.E.J. Productions, Inc.* (2011) 193 Cal.App.4th 466, 471.)

Here, the Court concludes the forum selection clause contained in the Agreement is mandatory, not permissive. "To be mandatory, a clause must contain language that clearly designates a forum as the exclusive one." (*Council of Laborers v. Pittsburg-Des Moines Steel* (9th Cir. 1995) 69 F.3d 1034, 1037.) The Agreement provides, "[a]ny controversy or claim arising out of or relating to the interpretation, enforcement or breach of this Services Agreement or the relationship between the parties hereto *shall* be resolved by binding arbitration . . . to be held in Atlanta, Georgia." (Robinette Decl., Ex. A at p. 3, emphasis added.)

"[A] phrase such as 'shall be litigated' generally has been construed to indicate that the forum selection clause is mandatory." (*Korman v. Princess Cruise Lines, Ltd.* (2019) 32 Cal.App.5th 206, 215-216 (*Korman*)). Here, the aforementioned section indicates that the interpretation and enforceability of the Agreement *shall* be heard in Atlanta, Georgia. Given the language incorporated within these sections, the forum selection clause contained in the Agreement appears to be mandatory and thus any action must be brought in Atlanta, Georgia.

" 'When a case involves a mandatory forum selection clause, it will usually be given effect unless it is unfair or unreasonable. [Citation.]" [Citation.] 'Both California and federal law presume a contractual forum selection clause is valid and place the burden on the party seeking to overturn the forum selection clause. [Citations.]" [Citation.]" (*Korman, supra*, 32 Cal.App.5th at p. 216.)

"In the context of forum selection clauses, enforcement is considered unreasonable where 'the forum selected would be unavailable or unable to accomplish substantial justice' or there is no 'rational basis' for the selected forum. [Citation.]" (*Drulias v. 1st Century Bancshares, Inc.* (2018) 30 Cal.App.5th 696, 707.) " ' ' 'Mere inconvenience or additional expense is not the test of unreasonableness . . . ' " of a mandatory forum selection clause. [Citation.]" [Citation.] A clause is reasonable if it has a logical connection with at least one of the parties or their transaction. [Citations.]" (*Verdugo v. Alliantgroup, L.P.* (2015) 237 Cal.App.4th 141, 147 (*Verdugo*)). "However, a forum selection clause will not be enforced if to do so would bring about a result contrary to the public policy of this

state. [Citations.]” (*Intershop Communications AG v. Super. Ct.* (2002) 104 Cal.App.4th 191, 199-200.)

As the Agreement contains a mandatory forum selection clause, the court deems the provision to be presumptively valid and reasonable. “The party opposing enforcement of a forum selection clause ordinarily ‘bears the “substantial” burden of proving why it should *not* be enforced.’ [Citations.] That burden, however, is reversed when the claims at issue are based on unwaivable rights created by California statutes. In that situation, the party seeking to enforce the forum selection clause bears the burden to show litigating the claims in the contractually designated forum ‘will not diminish in any way the substantive rights afforded ... under California law.’ [Citations.]” (*Verdugo, supra*, 237 Cal.App.4th at pp. 147-148.)

Here, Plaintiff contends “[f]orcing a California employment plaintiff to arbitrate in Georgia under a Georgia-law clause, while pursuing California FEHA and Labor Code rights, creates a serious barrier to vindicating those rights.” (Opposition at p. 11:11-13.) Plaintiff’s characterization is not entirely correct. Plaintiff is a Tennessee resident who worked remotely to provide services in California. There is some rational basis for the selected forum because Defendants are headquartered in Alpharetta, Georgia. However, Plaintiff is correct that this action concerns unwaivable statutory rights. Defendants do not contend there is a Georgia analogue that can provide equivalent protection. Nor is there any indication that a Georgia arbitrator will apply California law under FEHA and the Labor Code. Defendants have not met their burden of proving that arbitrating in Georgia will not diminish the substantial rights afforded under California law. Thus, the Court concludes arbitration in Georgia would not be reasonable because the claims are based on unwaivable rights created by California statutes. For these reasons, arbitration shall take place in California.

Accordingly, the motion to compel arbitration is GRANTED. This action is STAYED in its entirety pending the outcome of arbitration. (Code Civ. Proc. § 1281.4; 9 U.S.C. § 3.)

DISPOSITION

The motion to compel arbitration is GRANTED. This action is STAYED in its entirety pending the outcome of arbitration.

The Court will prepare the order.

- oo0oo -

Calendar Line 6**Case Name:** *YEN LUCERO v. HA VU LE DAO, ET AL***Case No.** 26CV483739

Plaintiff's Consolidated Motion for Reconsideration (CCP § 1008(a)) and for Leave to Record New Notice of Pendency of Action (CCP § 405.36)

FACTUAL AND PROCEDURAL BACKGROUND

Plaintiff Yen Lucero is a judgment creditor of Ha Vu Le Dao, who is the debtor in a pending Chapter 7 proceeding in the United States Bankruptcy Court for the Northern District of California, In re Ha V Dao, Case No. 26-50211 SLJ. The property at issue is 536 Cinnamon Drive, San Jose, California 95111.

Escrow for the purchase of the property closed through Orange Coast Title Company of Northern California. The purchase was funded by a \$413,114.17 cashier's check drawn on the Chase account of remitter Hien V. Dao and made payable to Orange Coast Title Company, with the buyers identified as Hien Van Dao and Nguyen Khoi Truong.

Defendant Hien Van Dao further attests that he personally applied for the mortgage financing and that the lender approved a \$300,000 mortgage based on his personal financial disclosures. He states that he alone funded the down payment from his personal assets, consisting of proceeds from the liquidation of securities held in his investment accounts together with funds maintained in his personal bank accounts. He also attests that Ha Vu Le Dao contributed no funds toward the purchase of the property.

Title was taken in the names of Hien Van Dao and Khoi Truong Nguyen as joint tenants under the Grant Deed. Hien Van Dao attests that although Khoi Truong Nguyen was named on title, Khoi contributed no funds toward the purchase price or down payment and that Hien alone provided the funds used for the down payment. Defendant Hien Van Dao is the sole borrower on the \$300,000 mortgage loan secured by the property, and he attests that he has made the monthly mortgage payments from his personal Chase bank account.

Khoi Truong Nguyen attests that, on or about February 14, 2025, he received approximately \$82,000 in inheritance funds belonging to himself and his sister from their aunt, Dao Vu Thanh Huyen. He attests that he then transferred \$80,000 to Hien Van Dao, who had agreed to assist him and his sister with investing and managing those funds. Khoi attests that he provided no funds to facilitate the purchase of 536 Cinnamon Drive and that, under his arrangement to reside at the property with Hien Van Dao, he agreed to pay the property taxes for the residence.

Plaintiff's theory is that judgment debtor Ha Vu Le Dao's funds were used to acquire 536 Cinnamon Drive in the names of Hien Van Dao and Khoi Truong Nguyen and that title in their names operates as a vehicle for a concealed ownership interest of the judgment debtor.

In support of that theory, Plaintiff relies in part on subpoenaed employment and payroll records from Ajinomoto Foods North America, Inc. and Azel Enterprise, Inc. Plaintiff's evidence includes Ajinomoto W-2 forms showing that Ha Vu Le Dao earned \$86,264.88 in 2023, \$106,678.98 in 2024, and \$77,678.19 during the first six months of 2025. Plaintiff contends

that these earnings, together with alleged 401(k) and "surplus" accumulations of approximately \$62,943.30, gave Ha Vu Le Dao the financial means to fund what Plaintiff characterizes as a \$425,000 cash down payment.

Plaintiff also identifies alleged irregularities in the 2026 Azel payroll records, including a claimed discrepancy between the year-to-date hours reflected on the June 7, 2026 paystub and the hours reflected on individual paystubs, as well as a sick-leave accrual figure that Plaintiff contends is inconsistent with Labor Code section 246.

Plaintiff previously recorded a Notice of Pendency of Action against 536 Cinnamon Drive in connection with this litigation. On July 8, 2026, the Court heard Defendants' Motion to Expunge the notice. The Court granted the motion after finding that Plaintiff had failed to establish, by a preponderance of the evidence, the probable validity of the asserted real property claim as required by Code of Civil Procedure section 405.32. The notice was expunged pursuant to section 405.32.

At the July 8, 2026 hearing, the Court noted that Plaintiff had offered no competent evidence tracing the alleged \$425,000 to the judgment debtor. The Court also found that Plaintiff had not established that Ha Vu Le Dao possessed an ownership interest in Cinnamon Drive that had been transferred or concealed. The written order was signed and filed July 15, 2026. The Court denied Defendants' request for attorney's fees and costs under Code of Civil Procedure section 405.38 in connection with the original motion to expunge.

Plaintiff had served subpoenas on Ajinomoto Foods North America, Inc. and Azel Enterprise, Inc. on June 18, 2026. The third parties produced the records on July 10, 2026, two days after the July 8 hearing. Plaintiff thereafter filed the present motion for reconsideration pursuant to section 1008, subdivision (a), and for leave to record a new notice of pendency of action pursuant to section 405.36.

II. LEGAL STANDARD

A. Reconsideration Under Code of Civil Procedure Section 1008

Code of Civil Procedure section 1008, subdivision (a), permits a party affected by an order to seek reconsideration based upon new or different facts, circumstances, or law, provided the statutory requirements are satisfied. Section 1008 is the exclusive means for a party to seek reconsideration of an order and its limitations are jurisdictional. (*Garcia v. Hejmadi* (1997) 58 Cal.App.4th 674, 684–690; Code Civ. Proc., § 1008, subd. (e).)

The moving party must demonstrate not only new or different facts, circumstances, or law, but also a satisfactory explanation for failing to present the evidence earlier. The diligence requirement is a substantial one. (*Garcia*, *supra*, 58 Cal.App.4th at pp. 688–690; *Sakiyama v. AMF Bowling Centers, Inc.* (2003) 110 Cal.App.4th 398, 408.) Evidence that was available before the prior hearing, but was not presented, does not ordinarily satisfy section 1008 absent an adequate explanation for the failure to present it earlier.

Here, Plaintiff represents that the employment records at issue were subpoenaed before the July 8 hearing but were not produced until July 10, 2026. On the record presented, the Court

finds that Plaintiff has adequately explained why the records themselves were not available for presentation at the July 8 hearing. The issue, therefore, is whether the records constitute new or different facts that materially address the evidentiary basis for the Court's prior ruling.

B. Notice of Pendency of Action Under Code of Civil Procedure Section 405.36

Code of Civil Procedure section 405.36 provides that, once a notice of pendency of action has been expunged, the claimant may not record another notice of pendency of action as to the affected property without leave of the court in which the action is pending.

In *De Martini v. Superior Court* (2024) 98 Cal.App.5th 1269, the Court of Appeal explained that section 405.36 applies when a claimant seeks to record another notice concerning the same property following expungement of the prior notice, including where the prior notice was expunged in a different action. (*Id.* at pp. 1275–1278.) Accordingly, Plaintiff may not record another notice concerning 536 Cinnamon Drive without first obtaining leave of this Court.

Section 405.36 does not itself prescribe a separate evidentiary standard governing the Court's exercise of discretion to grant leave. The Court therefore considers whether Plaintiff has demonstrated a sufficient basis for permitting a second notice in light of the circumstances underlying the prior expungement and the evidence Plaintiff now offers.

The Court's consideration is informed by the standards governing the original notice. A claimant seeking to maintain a *lis pendens* must establish the probable validity of the asserted real property claim by a preponderance of the evidence. (Code Civ. Proc., §§ 405.3, 405.32; *De Martini*, *supra*, 98 Cal.App.5th at pp. 1281–1282.) "Probable validity" means that it is more likely than not that the claimant will obtain a judgment against the defendant on the claim. (Code Civ. Proc., § 405.3.)

A fraudulent-transfer claim may constitute a real property claim supporting a *lis pendens* where the relief sought would affect title to specific real property. (*Kirkeby v. Superior Court* (2004) 33 Cal.4th 642, 647–649.) But the claimant must still establish the probable validity of the real property claim. (*De Martini*, *supra*, 98 Cal.App.5th at pp. 1281–1282.)

C. Attorney's Fees Under Code of Civil Procedure Section 405.38

Code of Civil Procedure section 405.38 provides that the party prevailing on a motion under the *lis pendens* chapter shall be awarded reasonable attorney's fees and costs incurred in making or opposing the motion unless the court finds that the other party acted with substantial justification or that other circumstances make an award unjust.

The fee provision is intended, among other things, to discourage misuse of the *lis pendens* procedure. (*Castro v. Superior Court* (2004) 116 Cal.App.4th 1010, 1022–1023.)

III. ANALYSIS

A. Motion for Reconsideration

The motion for reconsideration is DENIED.

The Court accepts, for purposes of this motion, that Plaintiff has adequately explained why the subpoenaed employment records were not available at the July 8 hearing. The records, however, do not materially address the evidentiary deficiency identified by the Court in its prior ruling.

The Ajinomoto records establish Ha Vu Le Dao's historical employment compensation and retirement contributions during 2023 through 2025. They establish a potential source of income, but they do not establish that Ha Vu Le Dao's funds were actually transferred to either Defendant or used to purchase 536 Cinnamon Drive.

In particular, Plaintiff has not identified evidence in the newly produced records showing a transfer from Ha Vu Le Dao to either Defendant, a payment by Ha Vu Le Dao to escrow or Orange Coast Title Company, a withdrawal from Ha Vu Le Dao's accounts corresponding to the funds used for the purchase, a liquidation of Ha Vu Le Dao's retirement funds followed by a transfer of those funds for the purchase, or an ownership interest in the property acquired or retained by Ha Vu Le Dao in exchange for funds.

The W-2 records likewise do not establish such a connection. Gross wages, taxable wages, and retirement contributions are separate categories of information. Even assuming the records establish that Ha Vu Le Dao earned substantial income and made retirement contributions, Plaintiff has not shown that any retirement funds were liquidated, withdrawn, transferred to either Defendant, or deposited into the escrow for 536 Cinnamon Drive.

The distinction is material. Evidence that a person had the financial capacity to make a purchase does not, without more, establish that the person actually supplied the funds used for that purchase. The Court's prior ruling was based on the absence of competent evidence connecting Ha Vu Le Dao's funds to the acquisition of the property. The Ajinomoto records do not supply that missing connection.

The Azel records are even less probative of the source of funds for the purchase. Plaintiff's evidence establishes that the employment began in January 2026, approximately ten months after the March 2025 purchase of 536 Cinnamon Drive. Compensation earned after the purchase cannot establish the source of funds for a down payment made approximately ten months earlier.

Nor do the alleged discrepancies in the 2026 Azel payroll records materially address the prior evidentiary deficiency. Whether the records accurately reflect hours worked or sick-leave accruals in 2026 does not establish that Ha Vu Le Dao transferred funds to either Defendant in connection with the March 2025 purchase. The Court therefore need not resolve Plaintiff's contentions concerning the accuracy or legality of those payroll records because, even assuming the alleged discrepancies exist, they do not establish the connection necessary to support Plaintiff's theory concerning the property.

The newly produced employment records therefore establish, at most, evidence of Ha Vu Le Dao's earnings and subsequent employment. They do not establish that her funds were used to acquire 536 Cinnamon Drive or that she acquired or retained an ownership interest in the property.

In contrast, Defendants have submitted evidence that Hien Van Dao alone funded the down payment from his personal assets, including proceeds from the liquidation of securities in his investment accounts and funds maintained in his personal bank accounts; that he was the sole borrower on the mortgage; and that Ha Vu Le Dao contributed no funds toward the purchase. The Court need not determine whether Defendants' evidence conclusively establishes the absence of any concealed interest. It is sufficient for present purposes that Plaintiff's newly produced evidence does not materially strengthen the showing that the Court previously found insufficient.

Accordingly, Plaintiff has not established the jurisdictional predicate for reconsideration under section 1008, subdivision (a).

B. Motion for Leave to Record a New Notice of Pendency of Action

The motion for leave under section 405.36 is DENIED.

Section 405.36 requires Plaintiff to obtain leave before recording another notice of pendency of action against 536 Cinnamon Drive following the Court's prior expungement. Plaintiff has not demonstrated a sufficient basis for granting that leave.

The evidence presented in support of the motion is materially the same in its significance as the evidence presented on the original motion to expunge. The Ajinomoto records show earnings, but not the transfer or use of Ha Vu Le Dao's funds in the purchase of the property. The Azel records concern employment that began after the property was purchased. Neither set of records establishes that Ha Vu Le Dao acquired or retained an ownership interest in 536 Cinnamon Drive.

Plaintiff's theory may ultimately be tested through appropriate discovery or other proceedings in this action, but the evidence presently before the Court does not materially alter the showing that led to the prior expungement. Plaintiff therefore has not demonstrated a sufficient basis for permitting a second notice of pendency of action concerning the property.

C. Attorney's Fees Under Section 405.38

Defendants' request for attorney's fees and costs incurred in opposing Plaintiff's motion under section 405.36 is GRANTED.

Defendants are the prevailing parties on the motion for leave to record a new notice of pendency of action. The Court previously declined to award fees in connection with the original motion to expunge because Plaintiff had acted with substantial justification while discovery remained pending.

The circumstances presented by the present motion are different. Plaintiff was informed at the July 8 hearing of the evidentiary deficiency underlying the Court's ruling—namely, the absence of competent evidence connecting Ha Vu Le Dao's funds to the acquisition of 536 Cinnamon Drive or establishing a transferred or concealed ownership interest in the property. Plaintiff thereafter obtained the subpoenaed employment records through diligent efforts. The records, however, do not materially address that deficiency.

Castro v. Superior Court, 116 Cal. App. 4th 1010, 1022-1023 (2004) instructs, the fee provision was enacted to control misuse of the lis pendens procedure. The statute is designed to discourage claimants from repeatedly seeking to encumber property without adequate evidentiary support. Defendants are entitled to reasonable attorney's fees and costs incurred in opposing this motion.

The Court recognizes that Plaintiff is appearing in propria persona and that evidence concerning a debtor's income may be relevant to a broader inquiry into the source of funds. But the evidence submitted here does not bridge the gap between earning income and actually transferring or using those funds to acquire the property. In particular, the Azel records post-date the purchase, while the Ajinomoto records contain no evidence of a transfer of funds to either Defendant or to the property transaction.

Under these circumstances, the Court finds that Plaintiff did not act with substantial justification in seeking leave to record a second notice of pendency of action based on evidence that did not materially address the evidentiary deficiency previously identified by the Court. The Court also finds no other circumstances that would make an award of fees and costs unjust.

Defendants are therefore entitled under section 405.38 to recover their reasonable attorney's fees and costs incurred in opposing Plaintiff's motion under section 405.36. The amount of fees and costs shall be determined upon noticed motion

IV. DISPOSITION

For the foregoing reasons, the Court orders as follows:

1. Plaintiff's Motion for Reconsideration pursuant to Code of Civil Procedure section 1008, subdivision (a), is DENIED.
2. Plaintiff's Motion for Leave to Record a New Notice of Pendency of Action pursuant to Code of Civil Procedure section 405.36 is DENIED.
3. Defendants Hien Van Dao and Khoi Truong Nguyen are entitled to recover their reasonable attorney's fees and costs incurred in opposing Plaintiff's motion under Code of Civil Procedure section 405.36, pursuant to Code of Civil Procedure section 405.38. Defendants may seek determination of the amount of such fees and costs by noticed motion.

Defendant shall submit final proposed order consistent with this ruling, accompanied by the necessary EFS-020 form, within 7 days of the hearing.

Calendar Line 7

Case Name: *Samuel Calderon Jr. v. Chadi Moussa, et al.*

Case No.: 26-CV-484120

Factual and Procedural Background

This is an action for fraud and violation of consumer laws by plaintiff Samuel Calderon Jr. (“Plaintiff”), a self-represented litigant, against defendants Chadi Moussa and San Jose Mitsubishi Motors (collectively, “Defendants”).

According to the complaint, on November 20, 2025, Defendants sold Plaintiff a 2024 Tesla Cybertruck. Defendants however sold the vehicle with no active car registration and did not disclose software issues, certain malfunctions, and third party warranties associated with the Cybertruck. Plaintiff files this lawsuit seeking to recover his \$30,000 down payment along with an extra \$5,000 for costs, fees, and repairs to the vehicle.

On January 13, 2026, Plaintiff filed the operative complaint against Defendants alleging causes of action for fraud and violation of consumer laws.

On February 27, 2026, Defendants filed the motion presently before the court, a demurrer to the complaint. Plaintiff filed written opposition. Defendants filed reply papers.

A further case management conference is also scheduled for September 23, 2026.

Demurrer to the Complaint

Defendants argue the complaint is subject to demurrer on the grounds that the pleading fails to state a valid cause of action and is uncertain. (Code Civ. Proc., § 430.10, subds. (e), (f).)

Self-Represented Litigants

Self-represented litigants “are held to the same standards as attorneys.” (*Kobayashi v. Super. Ct.* (2009) 175 Cal.App.4th 536, 543; see also *Burnete v. La Casa Dana Apartments* (2007) 148 Cal.App.4th 1262, 1270 [“self-represented litigants are generally entitled to no special treatment”].) “[M]ere self-representation is not a ground for exceptionally lenient treatment.” (*Rappleyea v. Campbell* (1994) 8 Cal.4th 975, 984.) Otherwise, “exceptional treatment of parties who represent themselves would lead to a quagmire in the trial courts, and would be unfair to the other parties to litigation.” (*Id.* at p. 985.)

Legal Standard

A complaint must contain substantive factual allegations sufficiently apprising the defendant of the issues to be addressed. (*Williams v. Beechnut Nutrition Corp.* (1986) 185 Cal.App.3d 135, 139, fn. 2 (*Williams*).)

“In reviewing the sufficiency of a complaint against a general demurer, we are guided by long settled rules. ‘We treat the demurrer as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law. [Citation.] We also consider matters which may be judicially noticed.’ [Citation.] Further, we give the complaint a reasonable

interpretation, reading it as a whole and its parts in their context. [Citation.]” (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.)

“ ‘It is not the ordinary function of a demurrer to test the truth of the plaintiff’s allegations or the accuracy with which he describes the defendant’s conduct. A demurrer tests only the legal sufficiency of the pleading. [Citation.]’ [Citation.] In reviewing the ruling on a demurrer, ‘the question of plaintiff’s ability to prove these allegations, or the possible difficulty in making such proof does not concern the reviewing court [citations]’ [Citation.] ‘To survive a demurrer, the complaint need only allege facts sufficient to state a cause of action; each evidentiary fact that might eventually form part of the plaintiff’s proof need not be alleged. [Citation.]’ [Citation.] A complaint’s allegations are construed liberally in favor of the pleader. [Citations.]” (*Ferrick v. Santa Clara University* (2014) 231 Cal.App.4th 1337, 1341.)

Also, “ ‘it is error for a trial court to sustain a demurrer when the plaintiff has stated a cause of action under any possible legal theory. [Citation.] And it is an abuse of discretion to sustain a demurrer without leave to amend if the plaintiff shows there is a reasonable possibility any defect identified by the defendant can be cured by amendment.’ [Citations.]” (*Gregory v. Albertson’s, Inc.* (2002) 104 Cal.App.4th 845, 850.)

Analysis

“ ‘The absence of any allegation essential to a cause of action renders it vulnerable to a general demurrer. A ruling on a general demurrer is thus a method of deciding the merits of the cause of action on assumed facts without a trial.’ [Citation.] ‘Conversely, a general demurrer will be overruled if the complaint contains allegations of every fact essential to the statement of a cause of action, regardless of mistaken theory or imperfections of form that make it subject to special demurrer.’ [Citation.]” (*Morris v. JPMorgan Chase Bank, N.A.* (2022) 78 Cal.App.5th 279, 291-292 (*Morris*).)

“A complaint, with certain exceptions, need only contain a ‘statement of the facts constituting the cause of action, in ordinary and concise language’ [citation] and will be upheld ‘ “so long as [it] gives notice of the issues sufficient to enable preparation of a defense.” ’ [Citation.] ‘[T]o withstand a demurrer, a complaint must allege ultimate facts, not evidentiary facts or conclusions of law.’ [Citation.]” (*Morris, supra*, 78 Cal.App.5th at p. 292.)

“ ‘ “[D]emurrers for uncertainty are disfavored, and are granted only if the pleading is incomprehensible that a defendant cannot reasonably respond.” ’ [Citations.] ‘ “A demurrer for uncertainty is strictly construed, even where a complaint is in some respects uncertain, because ambiguities can be clarified under modern discovery procedures.” ’ [Citations.]” (*A.J. Fistes Corp. v. GDL Best Contractors, Inc.* (2019) 38 Cal.App.5th 677, 695.)

“[U]nder our liberal pleading rules, where the complaint contains substantive factual allegations sufficiently apprising defendant of the issues it is being asked to meet, a demurrer for uncertainty should be overruled or plaintiff given leave to amend. (*Williams, supra*, 185 Cal.App.3d at p. 139, fn. 2.)

The elements of fraud, which give rise to the tort action for deceit, are (a) misrepresentation; (b) knowledge of falsity (or scienter); (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage. (*Lazar v. Super. Ct.* (1996) 12 Cal.4th 631, 638.)

Given the pleaded facts, Plaintiff might be attempting to specifically allege a claim for fraud based on concealment.

“[T]he elements of an action for fraud and deceit based on concealment are: (1) the defendant must have concealed or suppressed a material fact, (2) the defendant must have been under a duty to disclose the fact to the plaintiff, (3) the defendant must have intentionally concealed or suppressed the fact with the intent to defraud the plaintiff, (4) the plaintiff must have been unaware of the fact and would not have acted as he did if he had known of the concealed or suppressed fact, and (5) as a result of the concealment or suppression of the fact, the plaintiff must have sustained damage.” (*Marketing West, Inc. v. Sanyo Fisher (USA) Corp.* (1992) 6 Cal.App.4th 603, 612-613.)

“Fraud must be pleaded with specificity rather than with ‘general and conclusory allegations.’” [Citation.] The specificity requirement means a plaintiff must allege facts showing how, when, where, to whom, and by what means the representations were made, and, in the case of a corporate defendant, the plaintiff must allege the names of the persons who made the representations, their authority to speak on behalf of the corporation, to whom they spoke, what they said or wrote, and when the representation was made. [Citation.]” (*West v. JPMorgan Chase Bank, N.A.* (2013) 214 Cal.App.4th 780, 793 (*West*).)

Courts enforce the specificity requirement in consideration of its two purposes. (*West, supra*, 214 Cal.App.4th at p. 793.) The first purpose is to give notice to the defendant with sufficiently definite charges that the defendant can meet them. (*Ibid.*) The second is to permit a court to weed out meritless fraud claims on the basis of the pleadings; thus, the pleading should be sufficient to enable the court to determine whether, on the facts pleaded, there is any foundation, prima facie at least, for the charge of fraud. (*Ibid.*)

Here, Plaintiff’s complaint seeks relief based on fraud and violation of consumer laws. But, Plaintiff fails to plead facts with the required specificity to state a cause of action for fraud. Plaintiff also fails to identify any specific statutes or plead facts to allege a valid claim for violation of consumer laws. In addition, the complaint appears to be uncertain at least in connection with Plaintiff’s claim seeking relief for violation of consumer laws. The demurrer is therefore sustainable for failure to state a valid claim and uncertainty.

In opposition, Plaintiff disagrees with the demurrer and urges the court to reach the merits of his case. But, before the court can reach the merits, Plaintiff must first state a valid cause of action for relief. (See *Cardenas v. Horizon Senior Living, Inc.* (2022) 78 Cal.App.5th 1065, 1069 [“The function of a demurrer is to test whether, as a matter of law, the facts alleged in the complaint state a cause of action under any legal theory.”].) He has failed to do so in the operative complaint. Nor is Plaintiff relieved of his obligation to plead a valid cause of action by virtue of his self-representation status. The court however will afford Plaintiff an opportunity for leave to amend his complaint to allege viable claims for fraud and violation of consumer laws. (See *City of Stockton v. Super. Ct.* (2007) 42 Cal.4th 730, 747 [if the plaintiff has not had an opportunity to amend the pleading in response to a motion challenging the

sufficiency of the allegations, leave to amend is liberally allowed as a matter of fairness, unless the pleading shows on its face that it is incapable of amendment[.].)

Accordingly, the demurrer to the complaint is SUSTAINED WITH 30 DAYS LEAVE TO AMEND for failure to state a valid claim and uncertainty.

Disposition

The demurrer to the complaint is SUSTAINED WITH 30 DAYS LEAVE TO AMEND for failure to state a valid claim and uncertainty.

The court will prepare the Order.

- oo0oo -

Calendar Line 8-9

Case Name: *Mohammad Khokhar v. Gene Kristul, et al.*

Case No.: 26-CV-484360

Special Motions to Strike the Second Amended Complaint by Defendants Gene Kristul, Yeva, Inc. and Martha Simon

Factual and Procedural Background

This is an action to set aside a fraudulent non-judicial foreclosure sale brought by plaintiff Mohammad Khokhar (“Plaintiff”), a self-represented litigant, against multiple defendants.

On June 3, 2026, Plaintiff filed the operative second amended complaint (“SAC”) against defendants alleging ten causes of action including claims for conspiracy, fraud, wrongful foreclosure, and tortious interference with contractual relations and economic advantage.

Currently before the court are separate special motions to strike the SAC by defendants Gene Kristul (“Kristul”) and Yeva, Inc. (collectively, “Kristul Defendants”) and Martha Simon (“Simon”). Simon filed a request for judicial notice in conjunction with her motion. Plaintiff filed written oppositions to the motions.⁵ Defendants filed reply papers.

A further case management conference is also scheduled for September 23, 2026.

Self-Represented Litigants

Self-represented litigants “are held to the same standards as attorneys.” (*Kobayashi v. Super. Ct.* (2009) 175 Cal.App.4th 536, 543; see also *Burnete v. La Casa Dana Apartments* (2007) 148 Cal.App.4th 1262, 1270 [“self-represented litigants are generally entitled to no special treatment”].) “[M]ere self-representation is not a ground for exceptionally lenient treatment.” (*Rappleyea v. Campbell* (1994) 8 Cal.4th 975, 984.) Otherwise, “exceptional treatment of parties who represent themselves would lead to a quagmire in the trial courts, and would be unfair to the other parties to litigation.” (*Id.* at p. 985.)

Kristul Defendants’ Special Motion to Strike the SAC

The Kristul Defendants move to strike the first, fourth, fifth, and sixth causes of action in the SAC on the ground that these claims arise from protected activity and Plaintiff will be unable to demonstrate a probability of success on the merits.

Legal Standard

Code of Civil Procedure section 425.16 provides for a “special motion to strike” when a plaintiff’s claims arise from certain acts constituting the exercise of the constitutional rights of freedom of speech and petition for the redress of grievances, “unless the court determines that

⁵ Plaintiff’s oppositions include an initial memorandum of points and authorities (or response) and a supplemental memorandum both filed on September 9, 2026. The filing of the supplemental memorandums is procedurally improper as they were submitted without permission from the court.

the plaintiff has established that there is a probability that the plaintiff will prevail on the claim.” (Code Civ. Proc., § 425.16, subds. (a) & (b)(1).)

“Consistent with the statutory scheme, ruling on an anti-SLAPP motion involves a two-step procedure. First, the moving defendant must identify ‘all allegations of protected activity’ and show that the challenged claim arises from that activity. [Citations.] Second, if the defendant makes such a showing, the ‘burden shifts to the plaintiff to demonstrate that each challenged claim based on protected activity is legally sufficient and factually substantiated.’ [Citation.] Without resolving evidentiary conflicts, the court determines ‘whether the plaintiff’s showing, if accepted by the trier of fact, would be sufficient to sustain a favorable judgment.’ [Citation.]” (*Bel Air Internet, LLC v. Morales* (2018) 20 Cal.App.5th 924, 934 (*Bel Air Internet*).)

First Prong: Protected Activity

Law

“A defendant meets his or her burden on the first step of the anti-SLAPP analysis by demonstrating the acts underlying the plaintiff’s cause of action fall within one of the four categories spelled out in [Code of Civil Procedure] section 425.16, subdivision (e).” (*Collier v. Harris* (2015) 240 Cal.App.4th 41, 50-51 (*Collier*).) That section provides that an “act in furtherance of a person’s right of petition or free speech under the United States or California Constitution in connection with a public issue includes: (1) any written or oral statement or writing made before a legislative, executive, or judicial proceeding, or any other official proceeding authorized by law, (2) any written or oral statement made in connection with an issue under consideration or review by a legislative, executive, or judicial body, or any other official proceeding authorized by law, (3) any written or oral statement or writing made in a place open to the public or a public forum in connection with an issue of public interest, or (4) any other conduct in furtherance of the exercise of the constitutional right of petition or the constitutional right of free speech in connection with a public issue or an issue of public interest.” (Code Civ. Proc., § 425.16, subd. (e).) “These categories define the scope of the anti-SLAPP statute by listing acts which constitute an ‘act in furtherance of a person’s right of petition or free speech under the United States or California Constitution in connection with a public issue.’ ” (*Collier, supra*, at p. 51, citing Code Civ. Proc., § 425.16, subd. (e).)

“A claim arises from protected activity when that activity underlies or forms the basis for the claim. [Citations.] Critically, ‘the defendant’s act underlying the plaintiff’s cause of action must itself have been an act in furtherance of the right of petition or free speech.’ [Citations.] ‘[T]he mere fact that an action was filed after protected activity took place does not mean the action arose from that activity for the purposes of the anti-SLAPP statute.’ [Citations.] Instead, the focus is on determining what ‘the defendant’s activity [is] that gives rise to his or her asserted liability—and whether that activity constitutes protected speech or petitioning.’ [Citation.]” (*Park v. Board of Trustees of California State University* (2017) 2 Cal.5th 1057, 1062-1063 (*Park*).)

“[A] claim may be struck only if the speech or petitioning activity itself is the wrong complained of, and not just evidence of liability or a step leading to some different act for which liability is asserted.” (*Park, supra*, 2 Cal.5th at p. 1060.) To determine whether the speech constitutes the wrong itself or is merely evidence of a wrong, “in ruling on an anti-

SLAPP motion, courts should consider the elements of the challenged claim and what actions by defendant supply those elements and consequently form the basis for liability.” (*Id.* at p. 1063.)

“In deciding whether the ‘arising from’ requirement is met, a court considers ‘the pleadings, and supporting and opposing affidavits stating the facts upon which the liability or defense is based.’ ” (*Peregrine Funding, Inc. v. Sheppard Mullin Richter & Hampton LLP* (2005) 133 Cal.App.4th 658, 670.)

Analysis

In the first step of the anti-SLAPP analysis, the Kristul Defendants rely on section 425.16, subdivision (e)(1) which protects “any written or oral statement or writing made before a legislative, executive, or judicial proceeding, or any other official proceeding authorized by law.”

“Protected activity thus includes the filing of lawsuits, and statements and pleadings made in or in preparation for civil litigation.” (*ValueRock TN Properties, LLC v. PK II Larwin Square SC LP* (2019) 36 Cal.App.5th 1037, 1046 (*ValueRock*).)

“Although litigation-related activities constitute protected activity, ‘it does not follow that *any* claims associated with those activities are subject to the anti-SLAPP statute. To qualify for anti-SLAPP protection, the moving party must [also] demonstrate the claim “arises from” those activities.’ [Citation.]” (*ValueRock, supra*, 36 Cal.App.5th at p. 1046.)

“Thus, for a defendant to meet the ‘arising from’ burden, ‘it is not enough to establish that the action was filed in response to or in retaliation for a party’s exercise of the right to petition.’ [Citation.] Moreover, the fact a cause of action ‘may have been triggered by protected activity’ [citation], or the ‘fact that protected activity may lurk in the background – and may explain why the rift between the parties arose in the first place’ [citation], does not mean the alleged SLAPP *arises from* protected activity.” (*ValueRock, supra*, 36 Cal.App.5th at p. 1047.)

“Instead, ‘the claim must be *based on* the protected petitioning activity.’ [Citations.] In evaluating whether that requirement is met, courts consider ‘the *principal thrust* or *gravamen* of a plaintiff’s cause of action’ [citation] and determine whether the acts underlying that cause of action were acts in furtherance of the right of petition or free speech [citation].” (*ValueRock, supra*, 36 Cal.App.5th at p. 1047.)

Here, the first, fourth, fifth, and sixth causes of action include claims for civil conspiracy, fraud, and tortious interference. The Kristul Defendants persuasively argue that each of these causes of action arise from protected activity based on statements and filings in the United States Bankruptcy Court. (See SAC at ¶¶ 137, 137.1, 137.2, 138.6, 170, 174, 176, 177, 185, 186, 189, 190, 196, 199; Skaggs Decl. at ¶¶ 1-6, Exs. 1-5; see also *Crossroads Investors, L.P. v. Federal National Mortgage Assn.* (2017) 13 Cal.App.5th 757, 782 (*Crossroads*) [“Because Fannie Mae’s omissions to the requests for accounting prior to being relieved from the stay occurred in connection with issues under consideration by the bankruptcy court, as explained above, and form an element of Crossroads’ causes of action, they were activities protected under the anti-SLAPP statute.”].)

In opposition, Plaintiff contends the Kristul Defendants engaged in perjury, extrinsic fraud, and violations of Business and Professions Code section 6068, subdivision (d) in connection with these claims and such conduct does not constitute protected speech. In support, Plaintiff cites *Flatley v. Mauro* (2006) 39 Cal.4th 299 (*Flatley*), the seminal California Supreme Court decision addressing the illegality exception to section 425.16.

In *Flatley*, the Supreme Court held that when it is uncontested or otherwise conclusively established that a person acted *illegally* in exercising his or her First Amendment rights, that activity is not a *valid* exercise of rights, and is accordingly not protected under the anti-SLAPP statute. (*Flatley, supra*, 39 Cal.4th at p. 320.) In particular, *Flatley* held that “where a defendant brings a motion to strike under section 425.16 based on a claim that the plaintiff’s action arises from activity by the defendant in furtherance of the defendant’s exercise of protected speech or petition rights, but either the defendant *concedes*, or the evidence *conclusively establishes*, that the assertedly protected speech or petition activity was illegal as a matter of law, the defendant is precluded from using the anti-SLAPP statute to strike the plaintiff’s action.” (*Ibid.*, italics added.) “The rationale is that the defendant cannot make a threshold showing that the illegal conduct falls within the purview of the statute and promotes section 425.16’s purpose to ‘prevent and deter “lawsuits [referred to as SLAPP’s] brought primarily to chill the valid exercise of the constitutional rights of freedom of speech and petition for the redress of grievances.” [Citation.]’ [Citation.]” (*Id.* at p. 316.)

But, the illegality exception to section 425.16 articulated in *Flatley* is narrow. **The party opposing the anti-SLAPP motion must either show that the other party concedes to the illegal activity, or that the alleged illegality is conclusively established by uncontroverted evidence.** (*Flatley, supra*, 39 Cal.4th at p. 320, emphasis added.) In *Flatley*, the Supreme Court concluded that section 425.16 did not apply to the defendant’s speech, which it determined to be extortion as a matter of law. (*Id.* at p. 333.) There the defendant did not dispute that he sent the letters that the court later determined was extortion as a matter of law, nor did he contest the contents. (*Id.* at pp. 328-329.) The defendant also did not contest the version of the telephone calls he allegedly made as set forth in the plaintiff’s opposition to the motion to strike. (*Ibid.*) As a result, the court determined that the evidence was uncontroverted. (*Ibid.*)

Similarly, in *Lefebvre v. Lefebvre* (2011) 199 Cal.App.4th 696 (*Lefebvre*), the appellate court concluded that defendant’s actions in filing a police report against the plaintiff did not involve an exercise of the right of petition or free speech. This is because the defendant did not deny she had “submitted an illegal, false criminal report” against the plaintiff. (*Lefebvre, supra*, at p. 705.) Because the record conclusively established the defendant’s statements to police were false, and thus illegal under Penal Code section 148.5 (it is a misdemeanor to make a false police report), the court properly denied the anti-SLAPP motion.

However, in a case where a factual dispute concerning the illegality of the statements are at issue, the *Flatley* exception is inapplicable. (*Seltzer v. Barnes* (2010) 182 Cal.App.4th 953, 965-967 (*Seltzer*)). For example, in *Seltzer*, the plaintiff failed to conclusively establish the illegality of settlement negotiations at issue as there were several factual disputes, including the defendant’s intent, during the proceedings. (*Id.* at p. 965.) The party opposing the special

motion to strike bears the burden that no factual dispute exists as to the illegality of the conduct underlying the complaint. (*Ibid.*)

Here, Plaintiff fails to carry his burden in demonstrating that the illegality exception under *Flatley* is applicable to this case. Plaintiff has not made any showing that the Kristul Defendants concede to the alleged illegal activity. Nor does Plaintiff proffer evidence conclusively establishing the protected speech or petition conduct was illegal as a matter of law.

In addition, Plaintiff, in opposition, argues the sixth cause of action for tortious interference does not arise from protected activity. In doing so, Plaintiff directs the court to Exhibits V and W attached to his declaration filed in opposition to the motion. But, this evidence does not affirmatively demonstrate that the tortious interference claim arises from protected activity.

Therefore, the court finds the Kristul Defendants have satisfied their burden in demonstrating the first, fourth, fifth, and sixth causes of action arise from protected activity. The burden now shifts to Plaintiff to demonstrate a probability of success on the merits of his claims.

Second Prong: Probability of Success on the Merits

Law

“In determining whether a plaintiff meets its responsive burden under the second prong, ‘the court shall consider the pleadings, and supporting and opposing affidavits stating the facts upon which the liability or defense is based.’ [Citations.] In doing so, ‘ “[t]he court does not weigh evidence or resolve conflicting factual claims. Its inquiry is limited to whether the plaintiff has stated a legally sufficient claim and made a prima facie factual showing sufficient to sustain a favorable judgment. It accepts the plaintiff’s evidence as true, and evaluates the defendant’s showing only to determine if it defeats the plaintiff’s claim as a matter of law.” ’ [Citations.]” (*Area 55, LLC v. Nicholas & Tomasevic, LLP* (2021) 61 Cal.App.5th 136, 151 (*Area 55*).)

“Courts have described this procedure as a ‘motion for summary judgment in “reverse.”’ Rather than requiring the *defendant* to defeat the plaintiff’s pleading by showing it is legally or factually meritless, the motion requires the *plaintiff* to demonstrate that he possesses a legally sufficient claim which is “substantiated,” that is, supported by competent, admissible evidence.’ [Citations.] Consistent with this summary-judgment-like procedure, the court ‘must draw all reasonable inferences from the evidence in favor of [the party opposing the anti-SLAPP motion].’ [Citation.]” (*Area 55, supra*, 61 Cal.App.5th at p. 152.)

Furthermore, “ ‘evidence may be considered at the anti-SLAPP motion stage if it is *reasonably possible* the evidence set out in supporting affidavits, declarations or their equivalent will be admissible at trial’ [citation]. ‘Conversely, if the evidence relied upon *cannot* be admitted at trial, because it is categorically barred or undisputed factual circumstances show inadmissibility, the court may not consider it in the face of an objection.’ [Citation.]” (*Area 55, supra*, 61 Cal.App.5th at p. 152.)

Litigation Privilege

“At this stage, a plaintiff must show that any asserted defenses are inapplicable as a matter of law or make a prima facie showing of facts that, if accepted, would negate such defenses.” (*Weeden v. Hoffman* (2021) 70 Cal.App.5th 269, 288.) The litigation privilege is a defense that may be considered with respect to the second prong of the anti-SLAPP analysis. (*Ibid.*)

“Civil Code section 47, subdivision (b) defines what is commonly known as the ‘litigation privilege.’ ‘The usual formulation is that the privilege applies to any communication (1) made in judicial or quasi-judicial proceedings; (2) by litigants or other participants authorized by law; (3) to achieve the objects of the litigation; and (4) that have some connection or logical relation to the action.’ [Citation.]” (*Kashian v. Harriman* (2002) 98 Cal.App.4th 892, 912 (*Kashian*)).

“The litigation privilege is absolute; it applies, if at all, regardless whether the communication was made with malice or the intent to harm. [Citation.] Put another way, application of the privilege does not depend on the publisher’s ‘motives, morals, ethics or intent.’ [Citation.] Although originally applied only to defamation actions, the privilege has been extended to *any* communication, not just a publication, having ‘some relation’ to a judicial proceeding, and to all torts other than malicious prosecution. [Citations.]” (*Kashian, supra*, 98 Cal.App.4th at p. 913.)

“There is some overlap between the litigation privilege and the anti-SLAPP statute. They are both ‘construed broadly, to protect the right of litigants to “ ‘the utmost freedom of access to the courts without [the] fear of being harassed subsequently by derivative tort actions.’ ” ’ [Citation.] Still, ‘[t]he scope of the protections afforded to litigation-related communications under the anti-SLAPP statute and that afforded by the litigation privilege [citation] are not identical. The two statutes “are substantively different statutes that serve quite different purposes. ...” ’ [Citation.]” (*Bonini v. St. Joseph Health System* (2022) 83 Cal.App.5th 288, 301 (*Bonini*)). Thus, even though the subject allegations constitute protected speech under the anti-SLAPP statute, the court must independently analyze whether they are barred by the litigation privilege. (*Ibid.*)

“A plaintiff cannot establish a probability of prevailing if the litigation privilege precludes the defendant’s liability on the claim.” (*MMM Holdings, Inc. v. Reich* (2018) 21 Cal.App.5th 167, 183.)

Here, the Kristul Defendants persuasively contend the litigation privilege applies to their statements made in the Bankruptcy Court proceedings for the purpose of lifting the automatic stay and allowing foreclosure proceedings to proceed. (See SAC at ¶¶ 137.1-137.7, 174, 176, 186-190, 199, 202; see also *Crossroads, supra*, 13 Cal.App.5th at p. 787 [“However, by concluding the anti-SLAPP statute applies because Crossroads’ claims arose from the response to an interrogatory and from statements and omissions made in settlement discussions in the bankruptcy action and concerning issues under review in the bankruptcy action, we readily find those statements and omissions have ‘some relation’ to the bankruptcy action and thus are privileged under section 47.”].)

In opposition, Plaintiff asserts the litigation privilege is not applicable where there is evidence of extrinsic fraud.

“Extrinsic fraud occurs when a party is deprived of the opportunity to present his claim or defense to the court; where he was kept ignorant or, other than from his own negligence, fraudulently prevented from fully participating in the proceeding. [Citation.] Examples of extrinsic fraud are: concealment of the existence of a community property asset, failure to give notice of the action to the other party, and convincing the other party not to obtain counsel because the matter will not proceed (and then it does proceed). [Citation.] The essence of extrinsic fraud is one party’s preventing the other from having his day in court.” (*City and County of San Francisco v. Cartagena* (1995) 35 Cal.App.4th 1061, 1067.)

As a threshold matter, Plaintiff fails to direct the court to any evidence establishing extrinsic fraud in support of his opposition. Nevertheless, Plaintiff relies on the California Supreme Court decision in *Silberg v. Anderson* (1990) 50 Cal.3d 205 (*Silberg*) in support of his position. There, a former husband brought an action against the attorney who represented his former wife in their divorce proceedings, alleging claims for breach of contract, negligence, and “intentional tort.” (*Silberg, supra*, at pp. 210-211.) The plaintiff alleged that, during the divorce proceedings, the defendant attorney falsely represented the impartiality of a jointly-retained psychologist. (*Id.* at p. 210.) The defendant filed a demurrer stating all of plaintiff’s claims were barred by the litigation privilege.

The Supreme Court affirmed the trial court’s order sustaining the demurrer and dismissing the action. In doing so, the *Silberg* court acknowledged the litigation privilege was “absolute in nature” and has been held to immunize defendants from tort liability based on all theories of abuse except malicious prosecution. (*Silberg, supra*, 50 Cal.3d at p. 215.) The Court also reasoned that, “[t]o allow a litigant to attack the integrity of evidence after the proceedings have concluded, except in the most narrowly circumscribed situations, such as extrinsic fraud, would impermissibly burden, if not inundate, our justice system.” (*Id.* at p. 214.)

But, the language from *Silberg* appears to be dicta as the claims at issue in the case did not concern extrinsic fraud. (See *Riskin v. Downtown Los Angeles Property Owners Assn.* (2022) 76 Cal.App.5th 438, 446, fn. 6 [dicta refers to a judicial comment made while delivering a judicial opinion, but one that is unnecessary to the decision in the case and therefore not precedential].) In fact, the question of whether all claims of extrinsic fraud necessarily fall beyond the ambit of the litigation privilege was not before the *Silberg* court. And cases do not stand for propositions not considered. (*Mares v. Baughman* (2001) 92 Cal.App.4th 672, 679.)

Also, as explained in the reply papers, *Silberg* is belied by subsequent case law. Four years after it issued the opinion in *Silberg*, the California Supreme Court clarified that the “reference to ‘extrinsic fraud’ [in *Silberg*] apparently relates to the narrow doctrine permitting a collateral attack on a judgment that has been obtained by ‘extrinsic fraud.’ ” (*Moore v. Conliffe* (1994) 7 Cal.4th 634, 643, fn. 5 (*Moore*).) Following *Moore*, California appellate courts have limited the “extrinsic fraud” language of *Silberg* as permitting equitable collateral attacks on a judgment obtained through extrinsic fraud. However, courts have held that this exception to the litigation privilege does not apply to derivative tort actions based on extrinsic fraud.

For example, in *Navarro v. IHOP Properties, Inc.* (2005) 134 Cal.App.4th 834 (*Navarro*), cited in the reply brief, the plaintiff alleged a tort claim for fraud based on the defendant’s alleged procurement of a stipulated judgment against the plaintiff through extrinsic fraud. (*Navarro, supra*, at pp. 838, 841-842.) In response, the defendant filed an anti-SLAPP motion to strike, claiming the plaintiff’s causes of action were barred by the litigation privilege. The

Fourth Appellate District agreed, concluding that even if plaintiff could establish extrinsic fraud by the defendant, her tort claims would nonetheless still be barred by the litigation privilege:

“Moreover, even when extrinsic fraud can be demonstrated, the aggrieved party may seek to set aside the judgment, but none of the cases Navarro cites supports the contention that a separate action for damages may be pursued.” (*Id.* at p. 844.)

Aside from *Navarro*, other California appellate courts have drawn the same distinction.⁶ (See *Bonni, supra*, 83 Cal.App.5th at p. 304 [litigation privilege does not apply to equitable actions to set aside a fraudulent judgment but does bar tort claims]; *Herterich v. Peltner* (2018) 20 Cal.App.5th 1132, 1147 [*Silberg* exception does not apply to tort claims based on extrinsic fraud]; *Heyman v. Franchise Mortgage Acceptance Corp.* (2003) 107 Cal.App.4th 921, 925, fn. 2 [litigation privilege bars direct action for fraud but not equitable actions to redress extrinsic fraud]; see also *Rubenstein v. Rubenstein* (2000) 81 Cal.App.4th 1131, 1147 [“Where a civil judgment is procured by extrinsic fraud, the normal remedy is to seek equitable relief from the judgment, not to sue in tort”].)

Based on the foregoing, the court concludes the first, fourth, fifth, and sixth causes of action are barred by the litigation privilege.

Sufficiency of the Claims

Even if the litigation privilege is not applicable, Plaintiff must, in order to carry his burden on the second prong, demonstrate he has properly pled facts and submitted admissible evidence to support the first, fourth, fifth, and sixth causes of action.

The first cause of action is a claim for civil conspiracy and intentional fraud. Similarly, the fourth and fifth causes of action are based on fraud by concealment, extrinsic fraud and fraud on the courts.

“The elements of an action for civil conspiracy are (1) formation and operation of the conspiracy and (2) damage resulting to plaintiff (3) from a wrongful act done in furtherance of the common design.” (*Rusheen v. Cohen* (2006) 37 Cal.4th 1048, 1062.)

The elements of fraud, which give rise to the tort action for deceit, are (a) misrepresentation; (b) knowledge of falsity (or scienter); (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage. (*Lazar v. Super. Ct.* (1996) 12 Cal.4th 631, 638.)

“[T]he elements of an action for fraud and deceit based on concealment are: (1) the defendant must have concealed or suppressed a material fact, (2) the defendant must have been under a

⁶ In opposition, Plaintiff also cites to *Home Ins. Co. v. Zurich Ins. Co.* (2002) 96 Cal.App.4th 17 (*Home*). But, this case does not assist Plaintiff as the alleged misrepresentation was barred by the litigation privilege and did not constitute extrinsic fraud. (*Home, supra*, at p. 28 [“Because the alleged misrepresentation was absolutely privileged and did not constitute extrinsic fraud, the court did not err in sustaining the demurrer without leave to amend and dismissing the lawsuit.”].) Plaintiff further relies on *In re Marriage of Park* (1980) 27 Cal.3d 337 but that decision is not persuasive as it fails to consider the litigation privilege.

duty to disclose the fact to the plaintiff, (3) the defendant must have intentionally concealed or suppressed the fact with the intent to defraud the plaintiff, (4) the plaintiff must have been unaware of the fact and would not have acted as he did if he had known of the concealed or suppressed fact, and (5) as a result of the concealment or suppression of the fact, the plaintiff must have sustained damage.” (*Marketing West, Inc. v. Sanyo Fisher (USA) Corp.* (1992) 6 Cal.App.4th 603, 612-613.)

The sixth cause of action is identified as a claim for tortious interference with contractual relations and prospective economic advantage.

“Tortious interference with contractual relations requires ‘(1) the existence of a valid contract between the plaintiff and a third party; (2) the defendant’s knowledge of that contract; (3) the defendant’s intentional acts designed to induce a breach or disruption of the contractual relationship; (4) actual breach or disruption of the contractual relationship; and (5) resulting damage.’ [Citations.]” (*Ixchel Pharma, LLC v. Biogen, Inc.* (2020) 9 Cal.5th 1130, 1141.)

“To prevail on a cause of action for intentional interference with prospective economic advantage in California, a plaintiff must plead and prove (1) an economic relationship between the plaintiff and some third party, with the probability of future economic benefit to the plaintiff; (2) the defendant’s knowledge of the relationship; (3) the defendant’s intentional acts designed to disrupt the relationship; (4) actual disruption of the relationship; and (5) economic harm to the plaintiff proximately caused by the defendant’s acts.” (*Reeves v. Hanlon* (2004) 33 Cal.4th 1140, 1152, fn. 6.)

As stated above, to prevail on the merits of his claims, Plaintiff must show that each cause of action is properly pled (legally sufficient) and supported by admissible evidence. In opposition, Plaintiff does provide any substantive argument addressing whether the first, fourth, fifth, and sixth causes of action have been properly pled. As to the evidence, Plaintiff submits his declaration signed under penalty of perjury with attached exhibits. Plaintiff however does not explain how his declaration or the exhibits support these claims. Nor is Plaintiff relieved of this evidentiary burden by virtue of his self-representation status. Thus, Plaintiff fails to show that he has legally sufficient claims supported by admissible evidence.

Accordingly, the court concludes that Plaintiff does not establish a probability of success on the merits of his claims. Therefore, the special motion to strike the first, fourth, fifth, and sixth causes of action by the Kristul Defendants is GRANTED.

Plaintiff’s Request for Sanctions and Judicial Referral

Plaintiff’s request for sanctions is DENIED as he did not prevail in opposing the special motion to strike. Plaintiff’s request for a judicial referral against the Kristul Defendants is also DENIED.

Simon’s Special Motion to Strike the SAC

Defendant Simon moves to strike the first, second, third, fourth, fifth, sixth, eighth, eleventh, twelfth, and thirteenth causes of action in the SAC on the ground that these claims arise from

protected activity and Plaintiff will be unable to demonstrate a probability of success on the merits.

Request for Judicial Notice

“Judicial notice is the recognition and acceptance by the court, for use by the trier of fact or by the court, of the existence of a matter of law or fact that is relevant to an issue in the action without requiring formal proof of the matter.” (*Poseidon Development, Inc. v. Woodland Lane Estates, LLC* (2007) 152 Cal.App.4th 1106, 1117.)

In support, defendant Simon requests judicial notice [“RJN”] of the following:

1. Motion for Relief from the Automatic Stay in the United States Bankruptcy Court for the Northern District of California, case no. 25-5104 MEH, entitled *In re Mohammad Minhaj Khokhar Debtor* (“Bankruptcy Case”).
2. Declaration of Gene Kristul, President of Saxe Mortgage, filed in support of the Motion for Relief.
3. October 7, 2025, Order by United States Bankruptcy Judge M. Elaine Hammond entered on the Motion for Relief.
4. Plaintiff’s Motion to Dismiss his Bankruptcy case.

Here, the requested items constitute records of the bankruptcy court subject to judicial notice under Evidence Code section 452, subdivision (d). Plaintiff does not oppose the request. And the request appears relevant to issues raised in defendant Simon’s special motion to strike. (See *Gbur v. Cohen* (1979) 93 Cal.App.3d 296, 301 [information subject to judicial notice must be relevant to the issue at hand].)

Consequently, the request for judicial notice is GRANTED. (See *Hamilton v. Greenwich Investors XXVI, LLC* (2011) 195 Cal.App.4th 1602, 1608 [trial court took judicial notice of the bankruptcy court documents].)

First Prong: Protected Activity

As to the first prong, defendant Simon, an attorney, contends Plaintiff is suing her for one thing: the statements and papers she filed as counsel for the co-defendant lender in a motion for relief from the automatic stay in the United States Bankruptcy Court. Simon thus argues each cause of action against her arises from protected petitioning activity because the conduct underlying every claim consists of communications made and filings submitted in the bankruptcy proceedings.

Here, the first, third, fourth, fifth, sixth, eighth, and thirteenth causes of action include claims for civil conspiracy, fraud, wrongful foreclosure, tortious interference, breach of fiduciary duty, and conversion. Defendant Simon persuasively asserts that each of these causes of action arise from protected activity based on communications and filings in the United States Bankruptcy Court. (See SAC at ¶¶ 137, 137.1, 137.2, 138.6, 166, 167, 170, 174, 176, 177, 185-190, 196, 199, 202, 243, 294; Simon’s RJN; Simon’s Decl. at ¶¶ 1-9; see also *Crossroads, supra*, 13 Cal.App.5th at p. 782.) In opposition, Plaintiff again urges the court to apply the *Flatley* exception as defendant Simon’s court filings constitute extrinsic fraud and illegal

conduct. This exception however fails for the same reasons articulated above with respect to the motion brought by the Kristul Defendants.

Defendant Simon also moves to strike the second cause for conspiracy, eleventh cause of action for statutory financial elder abuse, and twelfth cause of action for quiet title. But, it is not clear from these claims whether they are based on protected activity involving defendant Simon. The allegations appear to refer to the actions and conduct of other defendants. And, even though the SAC is far from a model pleading, the court cannot determine if such claims arise from Simon's communications and filings with the bankruptcy court for purposes of satisfying the first prong analysis.⁷

Therefore, the special motion to strike is DENIED as to the second, eleventh, and twelfth causes of action as defendant Simon failed to meet her burden in showing such claims arise from protected activity.

As to the first, third, fourth, fifth, sixth, eighth, and thirteenth causes of action, the court finds defendant Simon has satisfied her burden in demonstrating that such claims arise from protected activity. The burden now shifts to Plaintiff to demonstrate a probability of success on the merits as to these claims.

Second Prong: Probability of Success on the Merits

In opposition, the court finds that Plaintiff fails to establish a probability of success on the merits of the first, third, fourth, fifth, sixth, eighth, and thirteenth causes of action. These claims are barred by the litigation privilege for the same reasons explained above in the motion filed by the Kristul Defendants. Plaintiff further fails to demonstrate that these causes of action are sufficiently pled and supported by admissible evidence.

Therefore, having failed to carry his burden on the second prong, the special motion to strike the first, third, fourth, fifth, sixth, eighth, and thirteenth causes of action is GRANTED.

Plaintiff's Request for Sanctions and Judicial Referral

Plaintiff's request for sanctions is DENIED as he did not prevail in opposing the special motion to strike. Plaintiff's request for a judicial referral against defendant Simon is also DENIED.

Disposition

The special motion to strike the first, fourth, fifth, and sixth causes of action by the Kristul Defendants is GRANTED.

The special motion to strike the first, third, fourth, fifth, sixth, eighth, and thirteenth causes of action by defendant Simon is GRANTED.

The special motion to strike the second, eleventh, and twelfth causes of action by defendant Simon is DENIED.

⁷ The court notes that defendant Simon has a pending demurrer scheduled for hearing on April 7, 2027 which addresses the second, eleventh, and twelfth causes of action.

Plaintiff's requests for sanctions and judicial referral are DENIED.

The court will prepare the order.

- oo0oo -